

ACC 501 FINAL TERM BY IQRA AZHAR

ACC501

Final term file

2024

Solved by

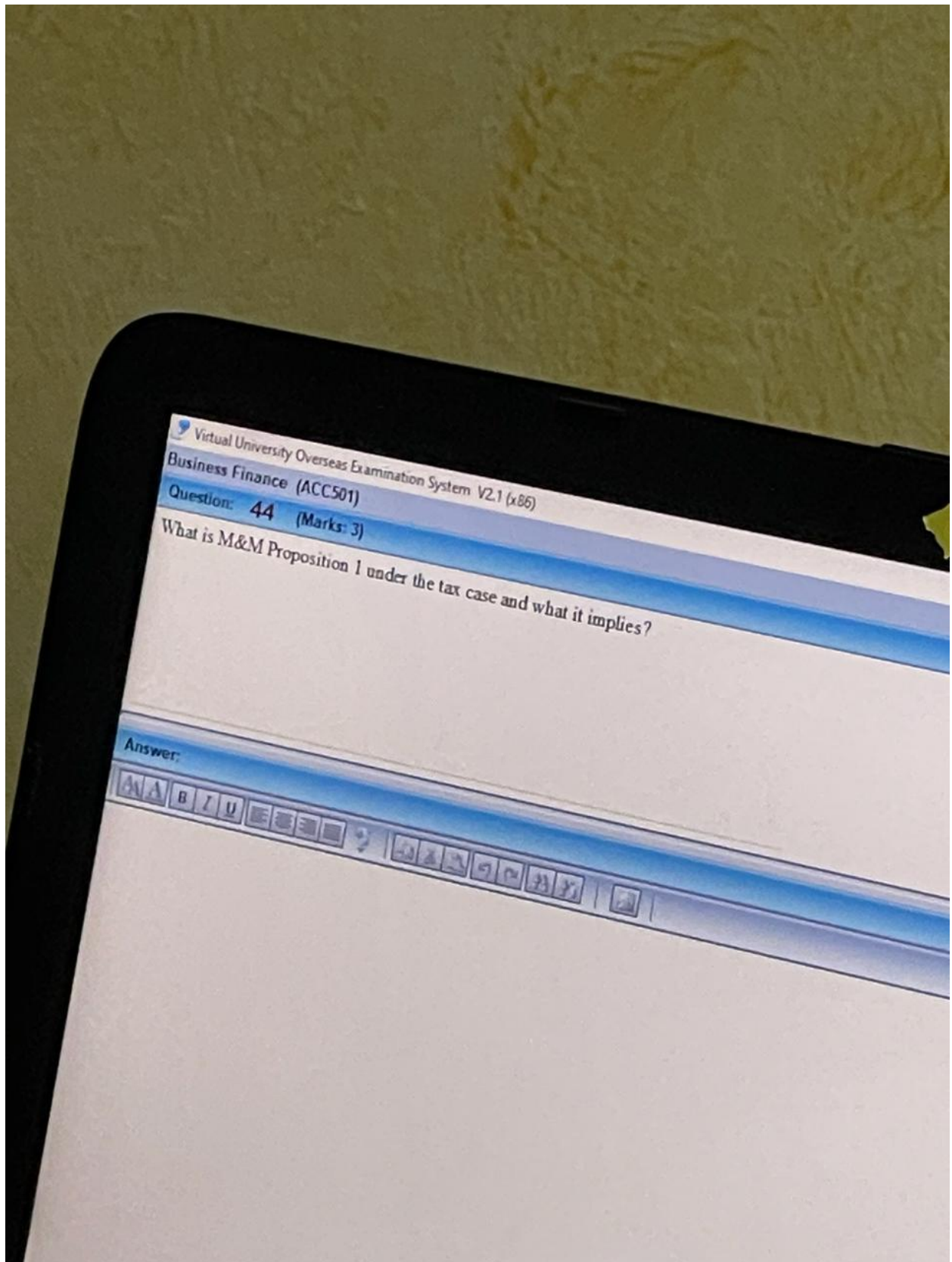
 **Iqra Azhar** 

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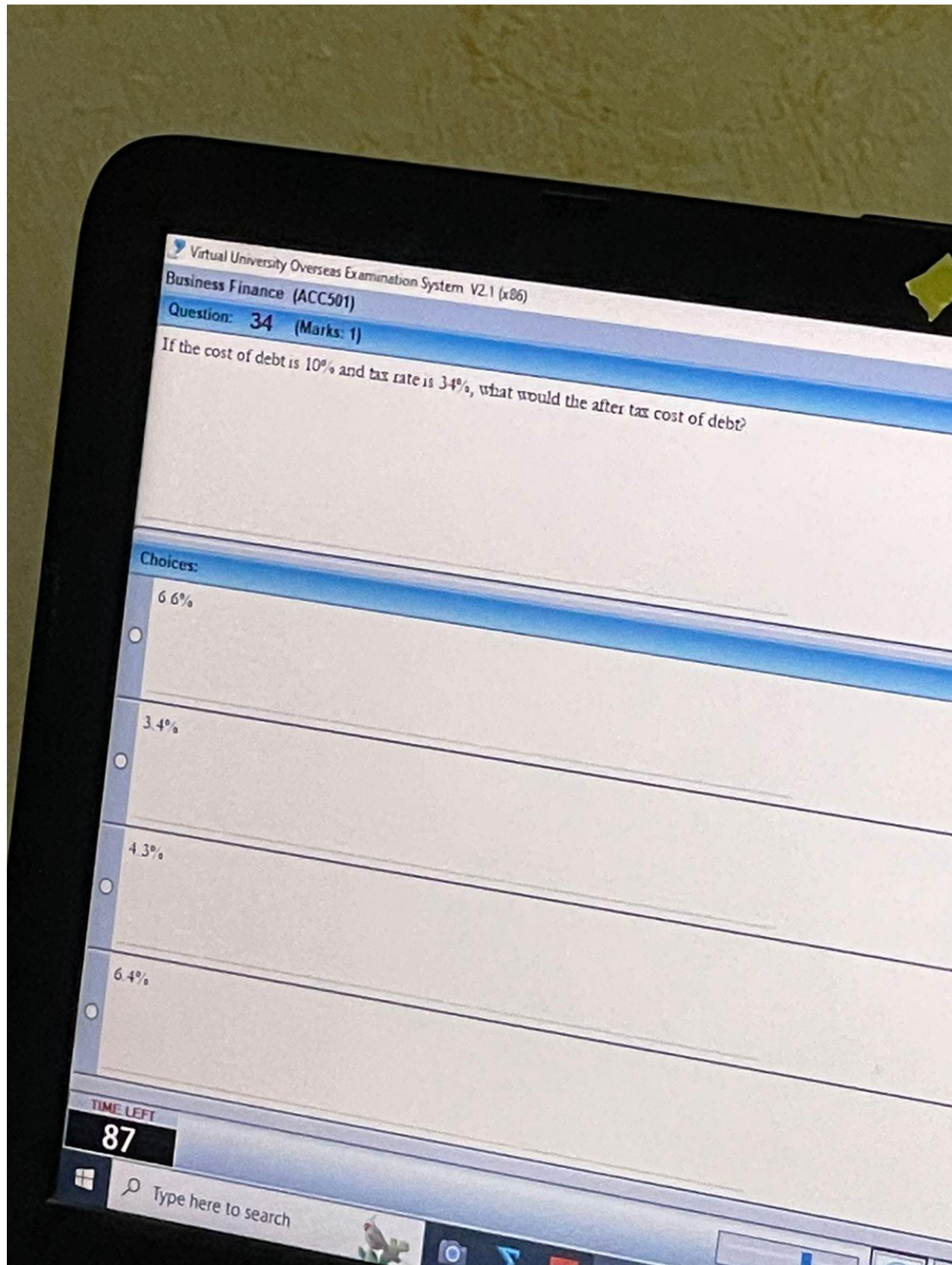
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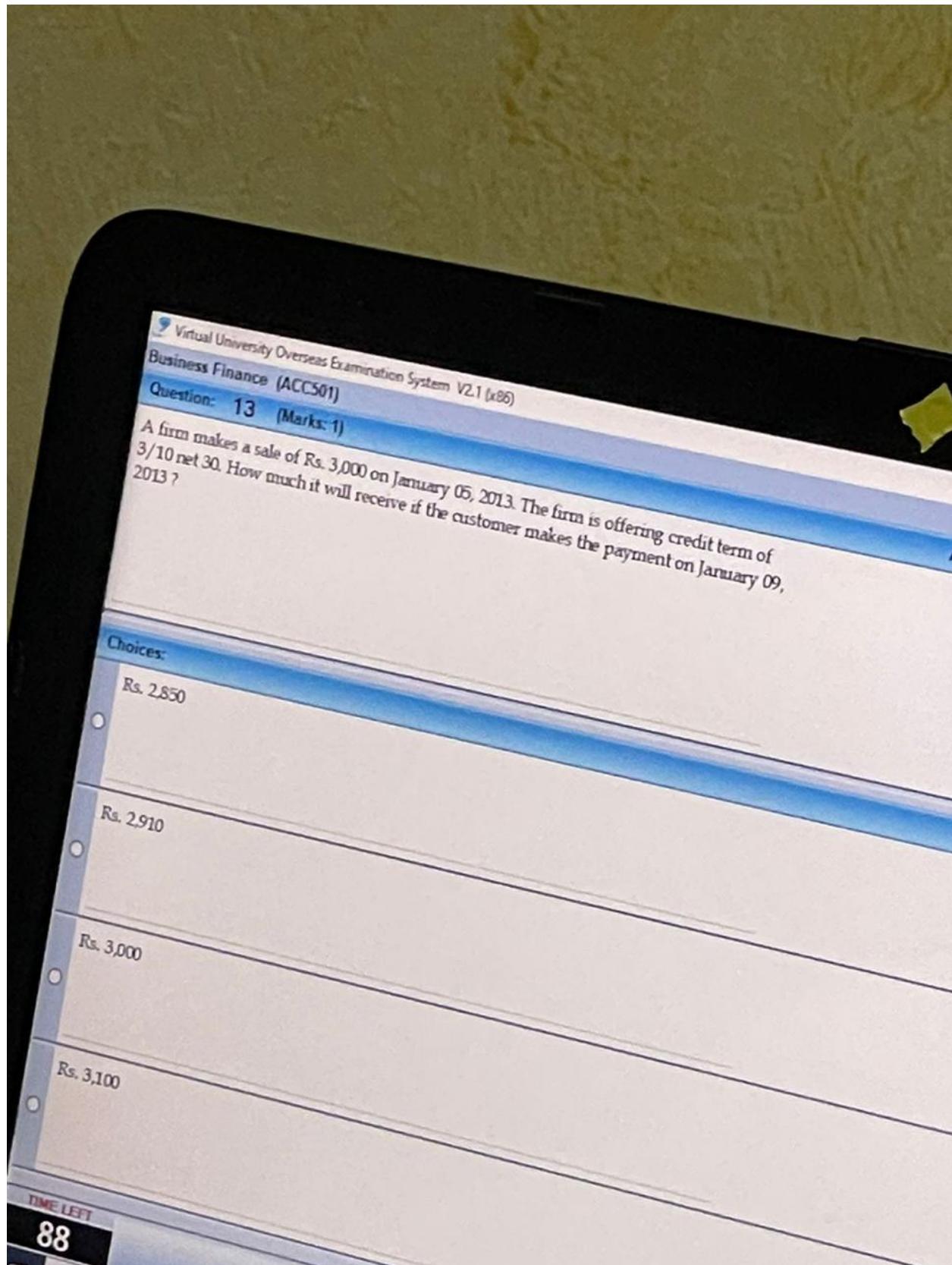
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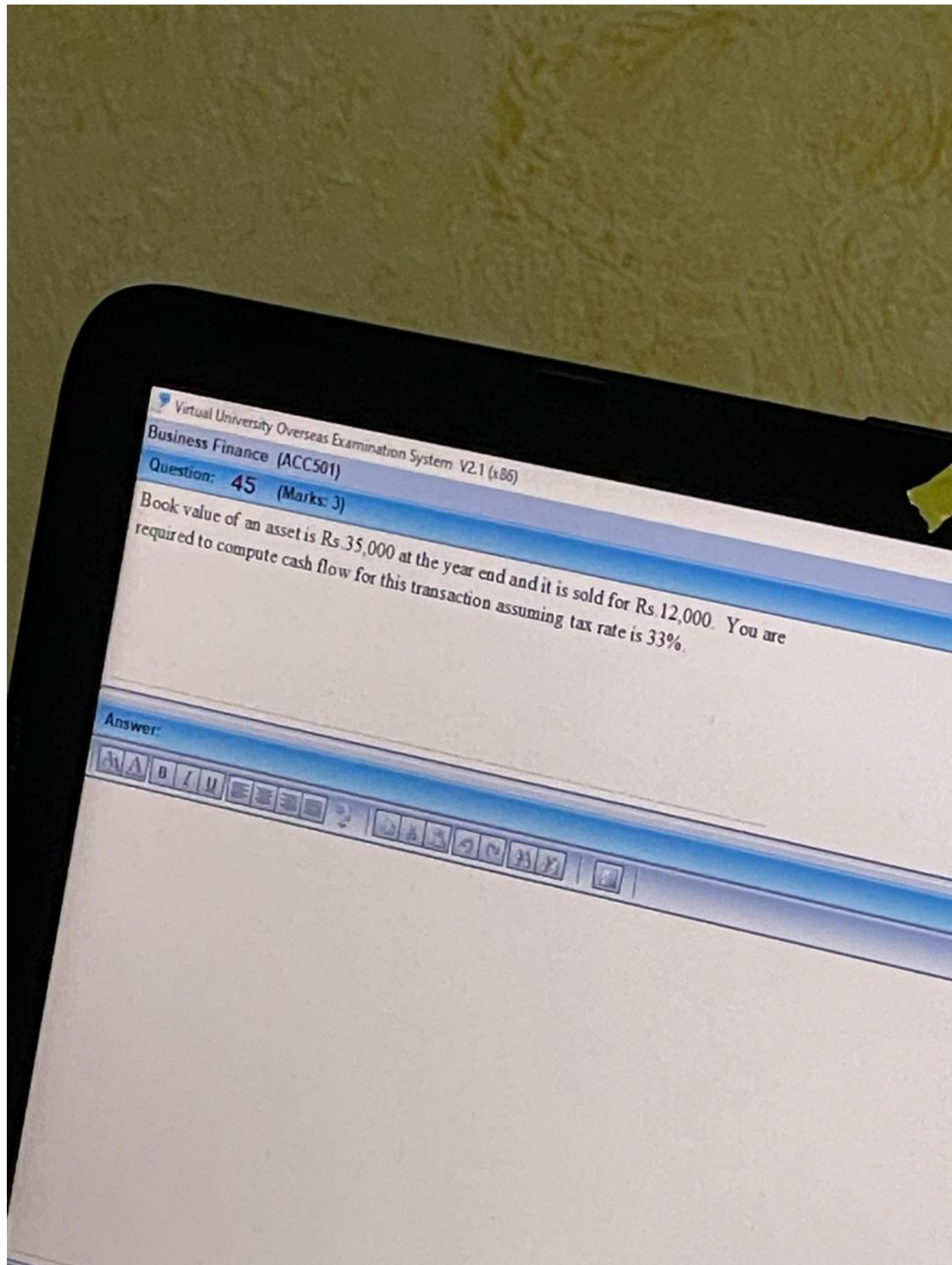
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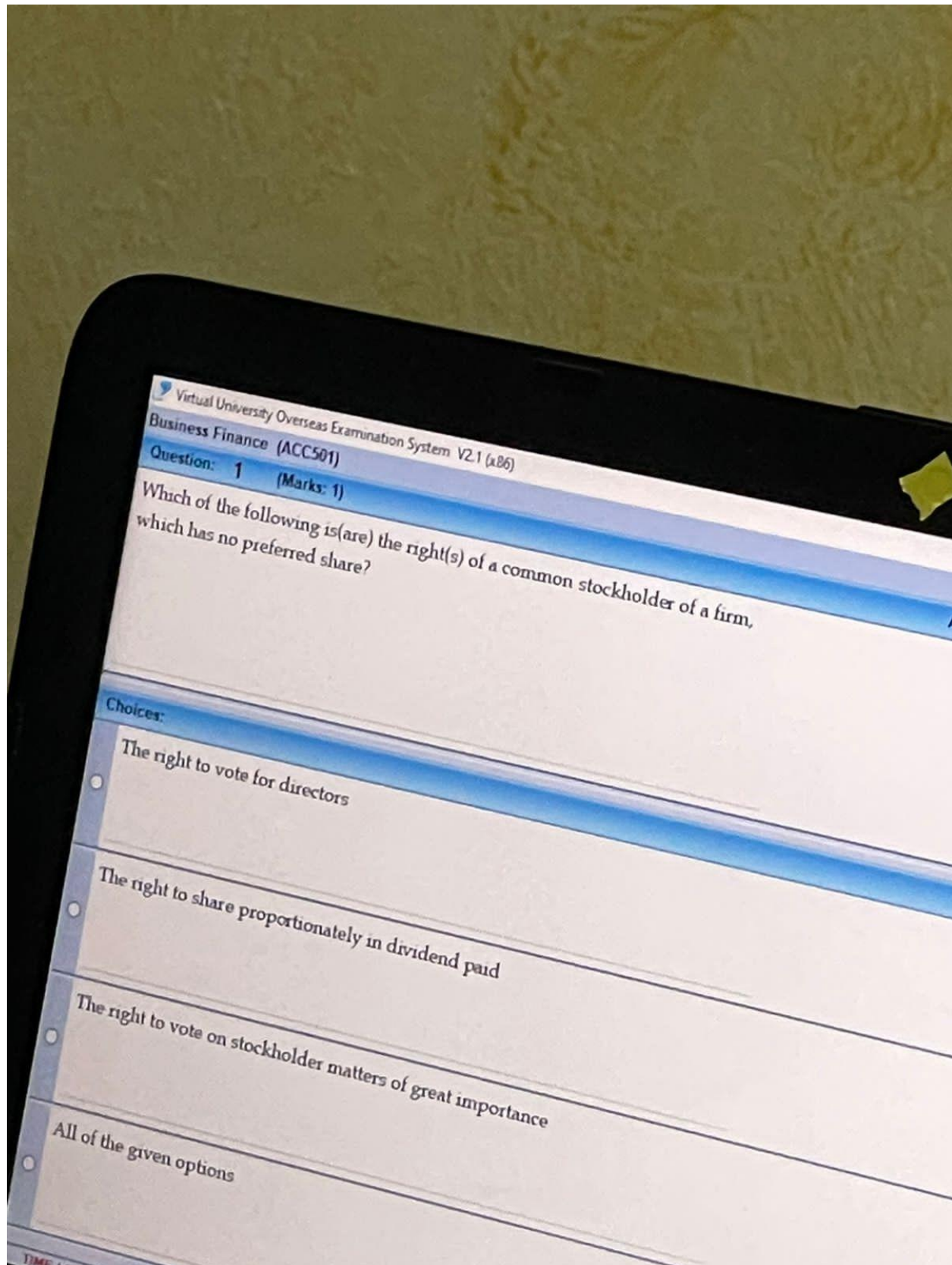
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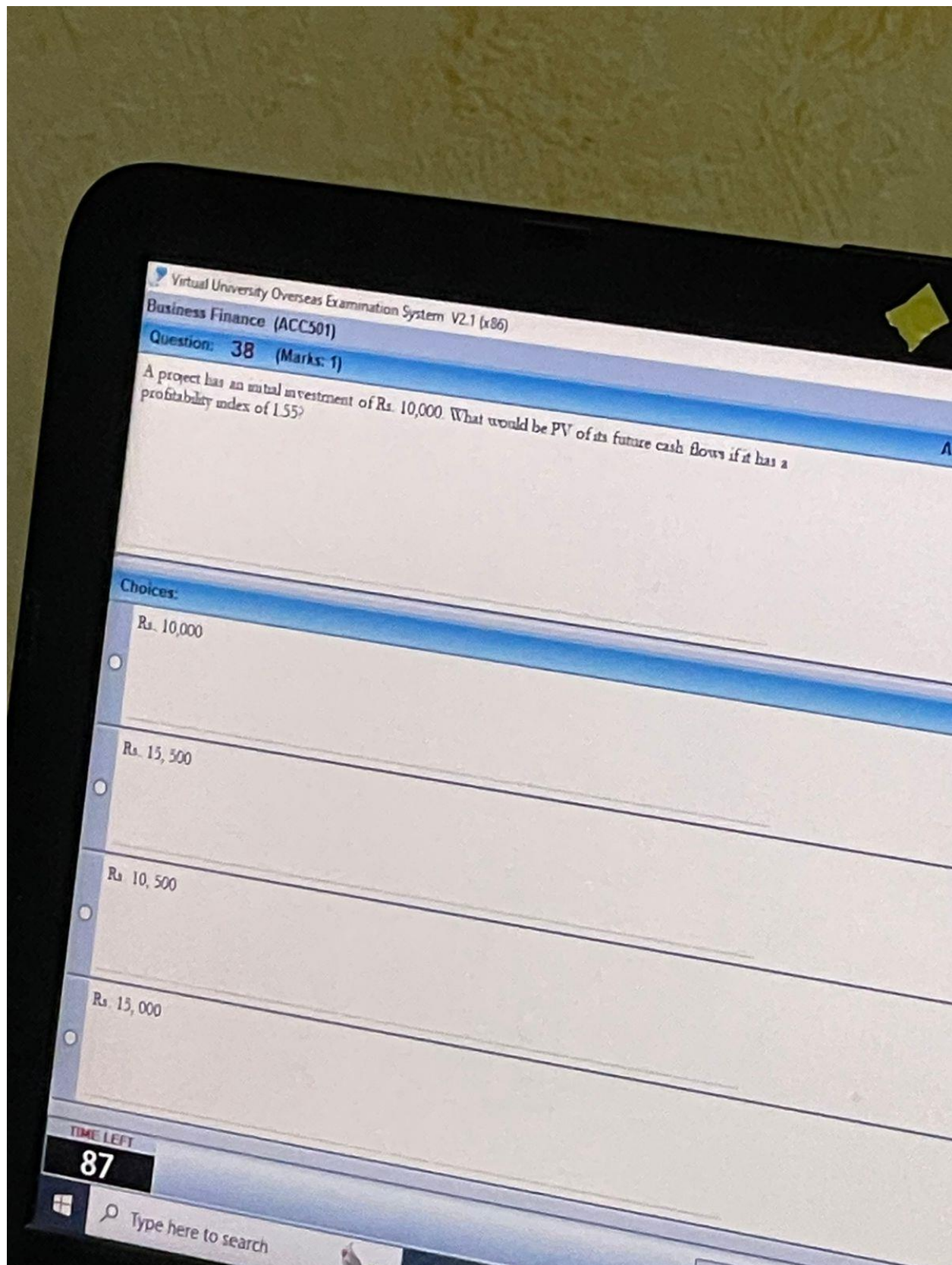
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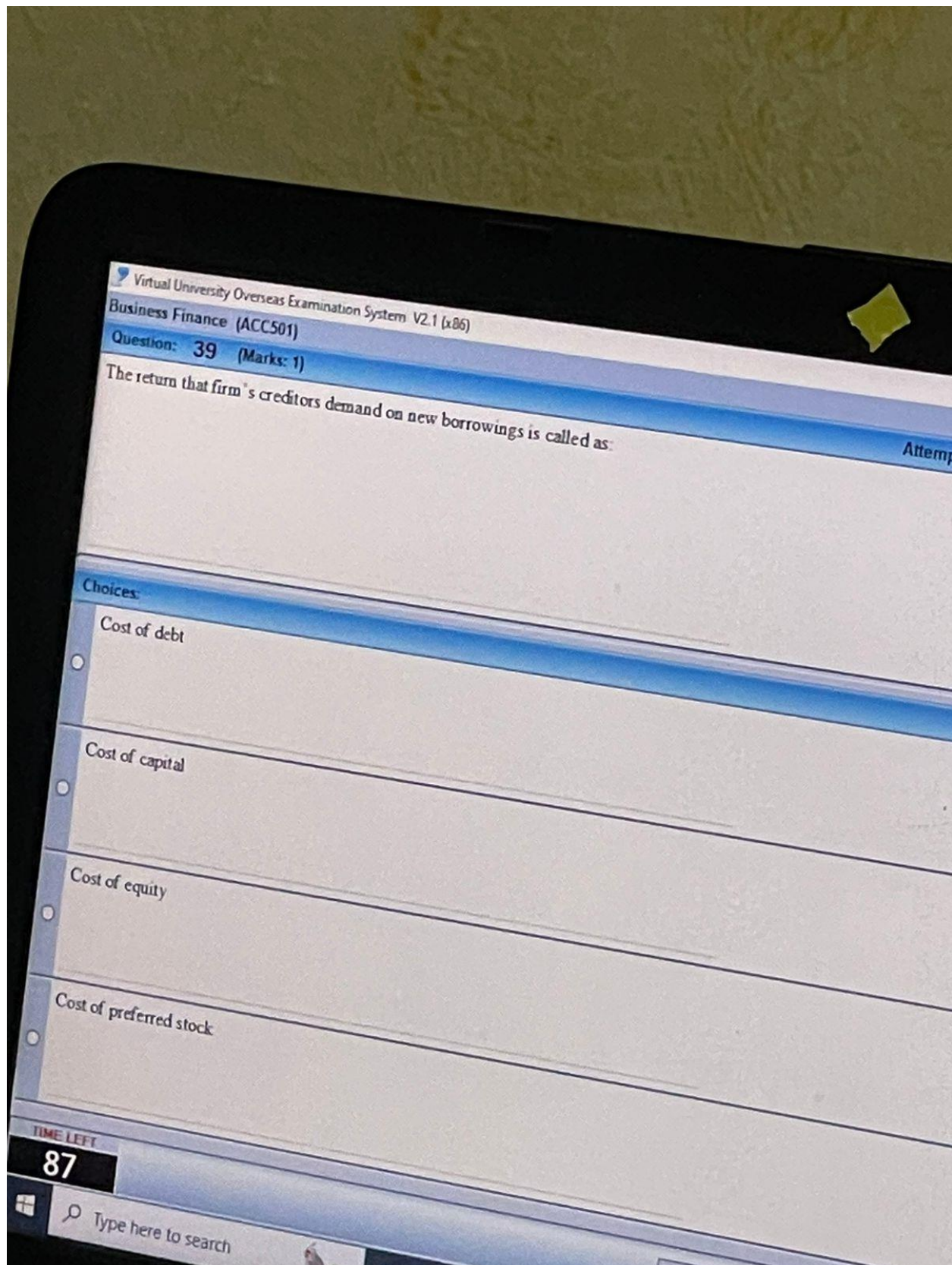
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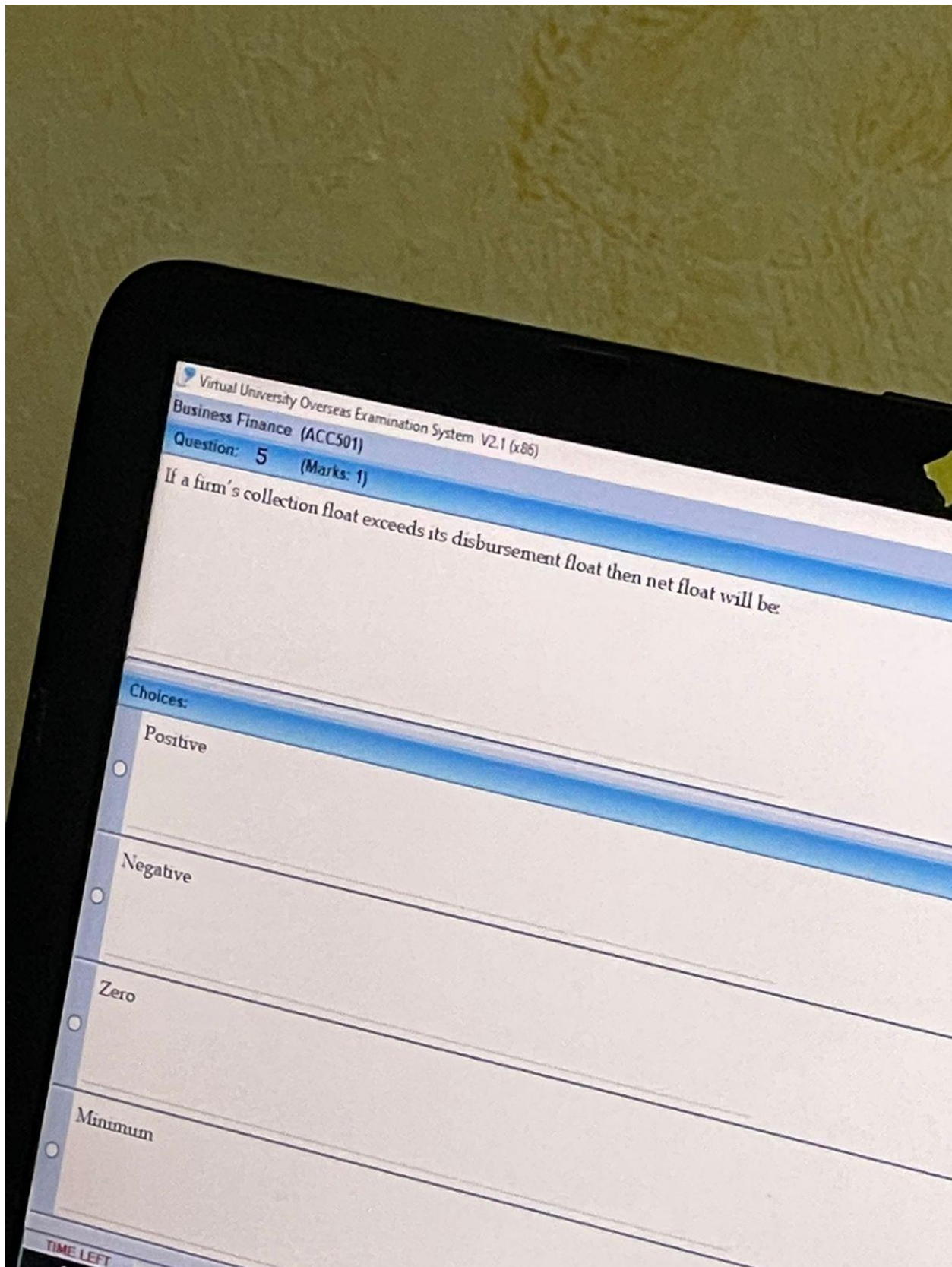
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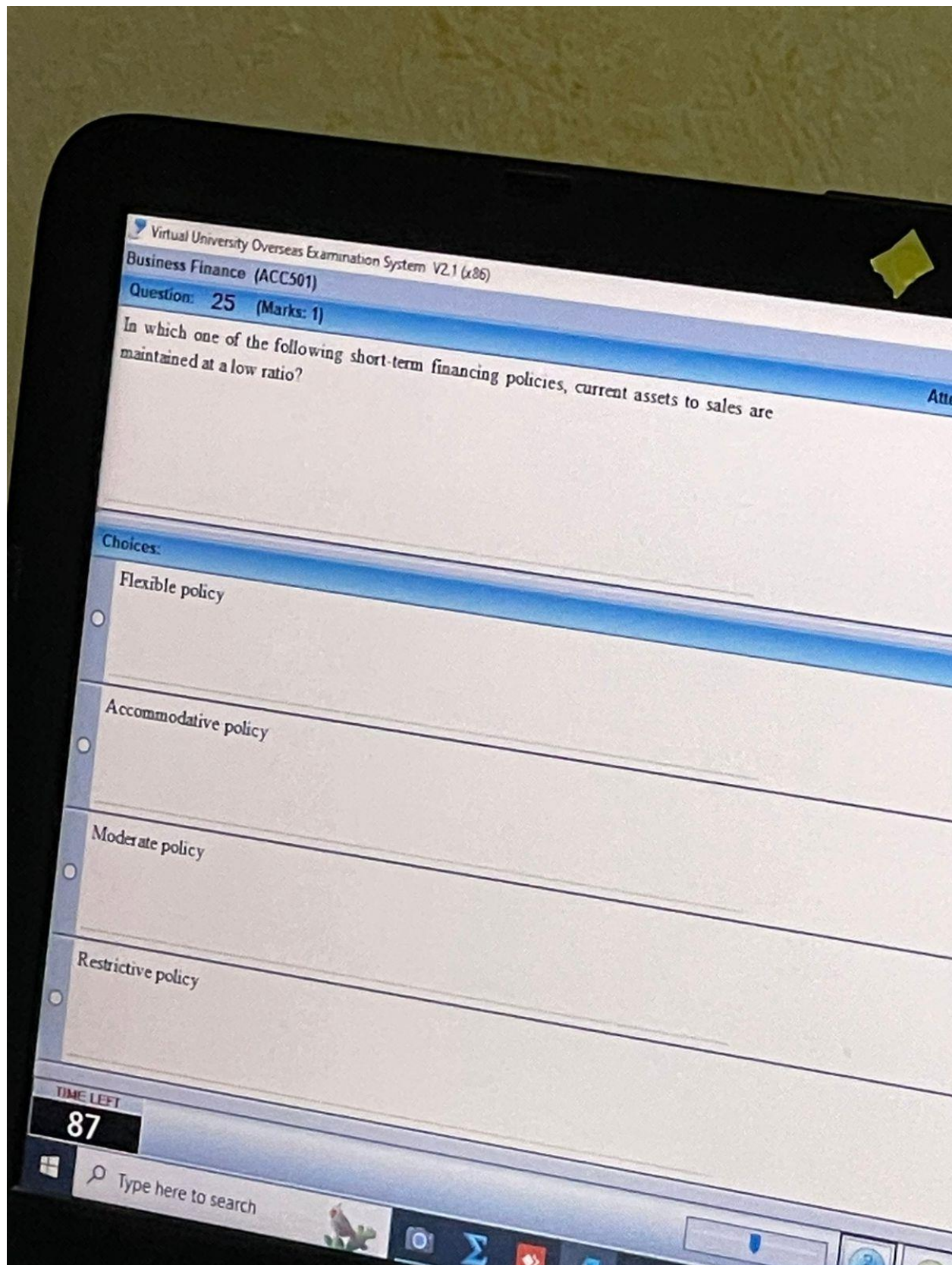
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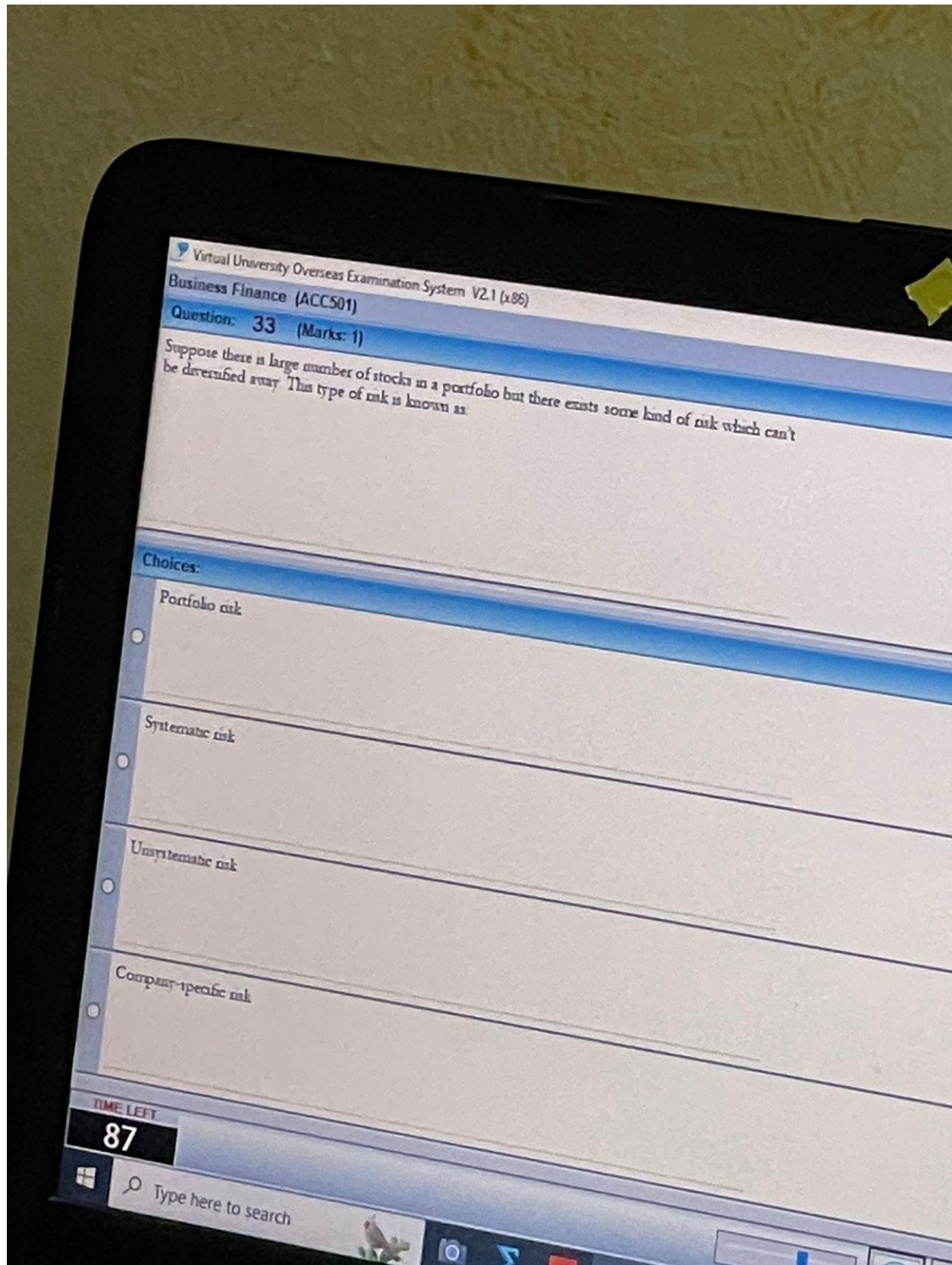
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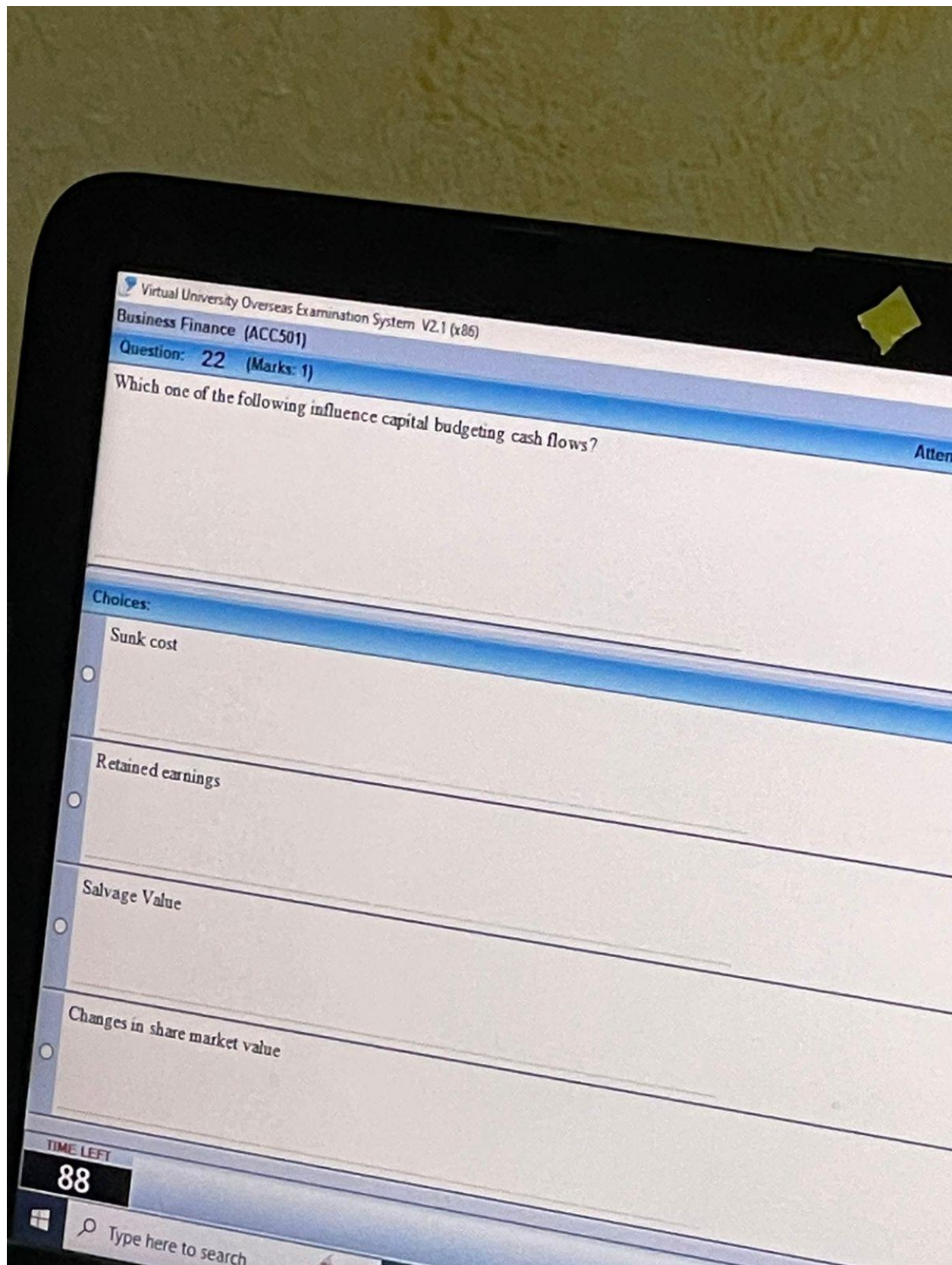
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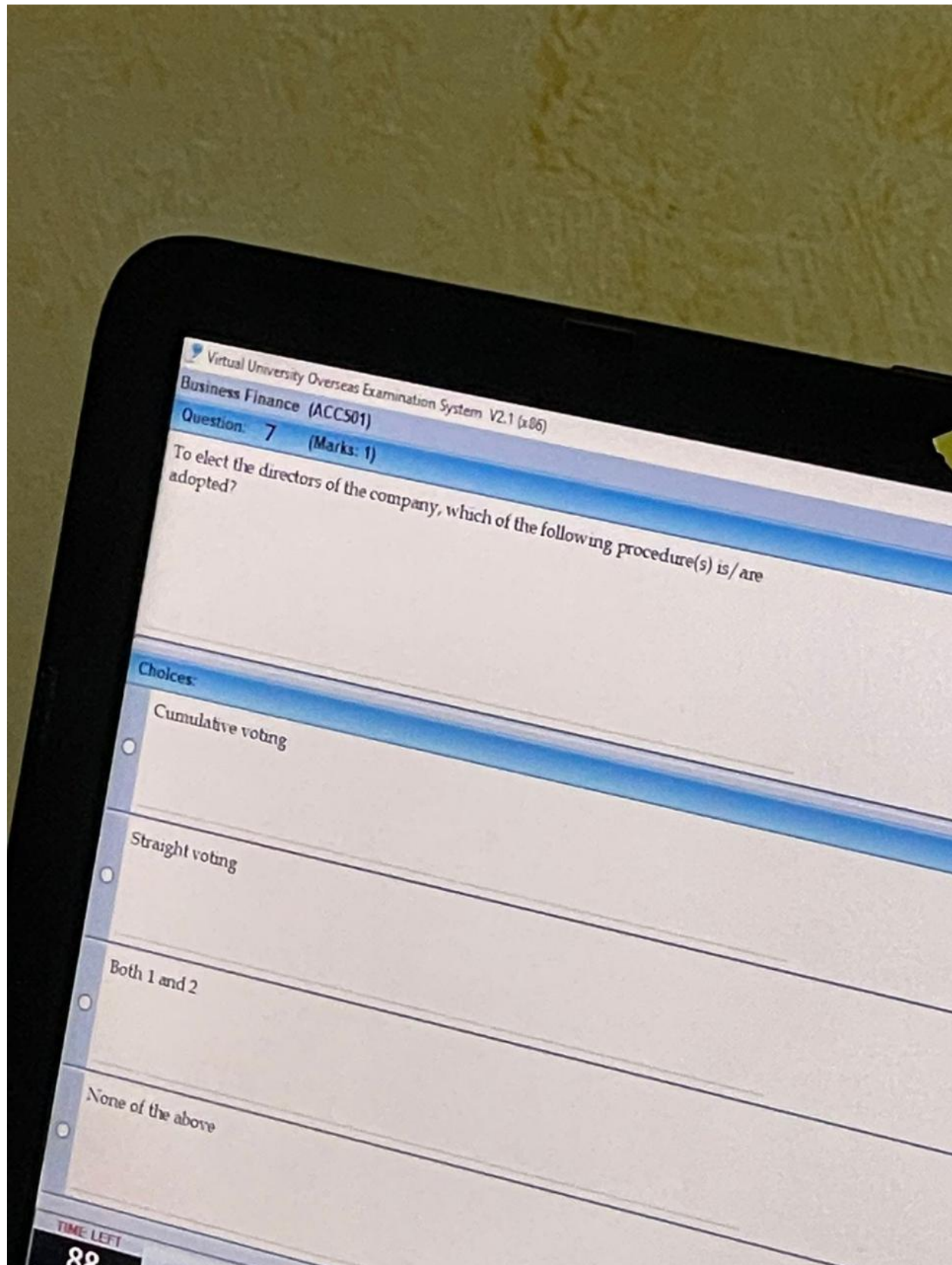
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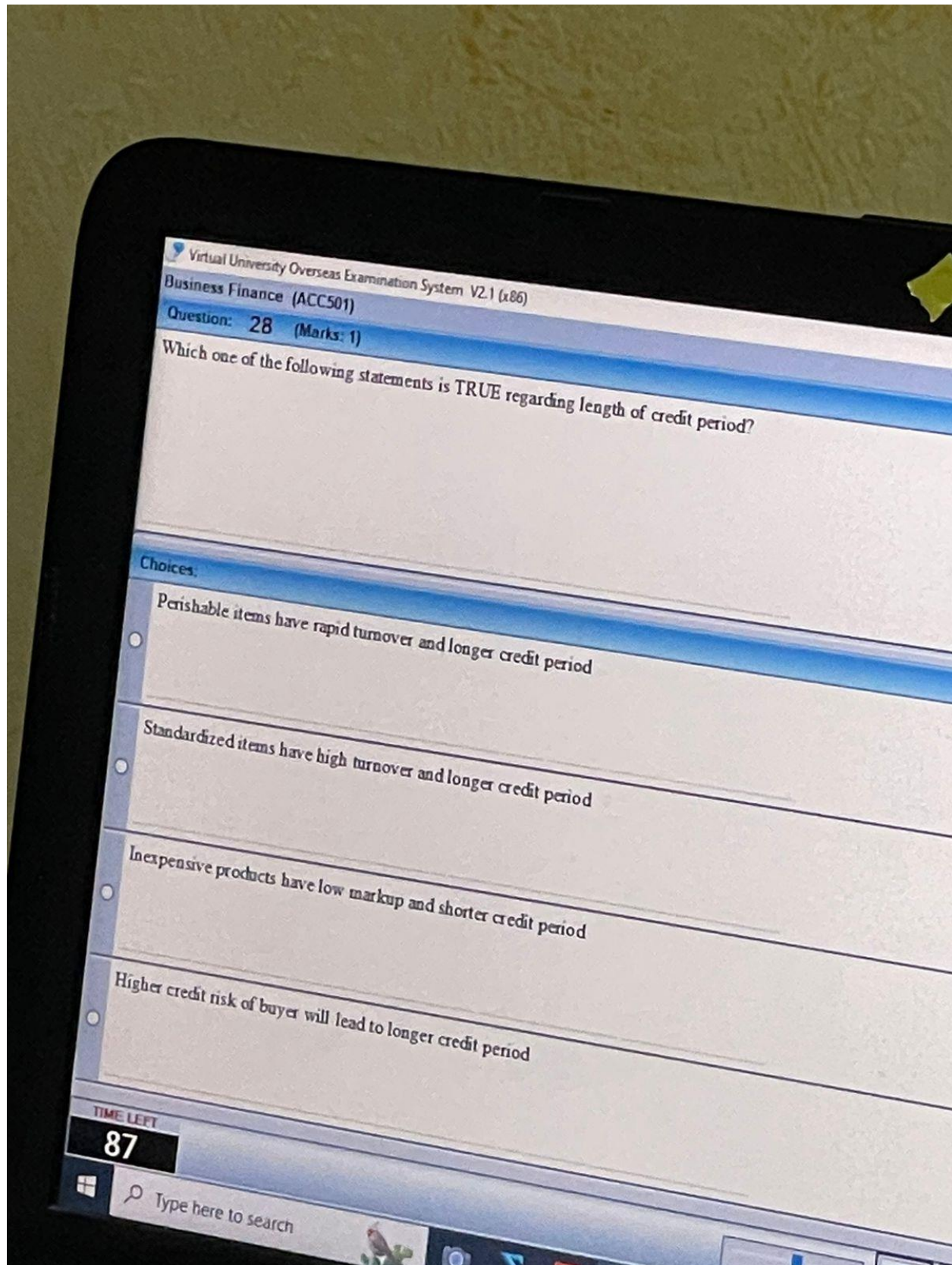
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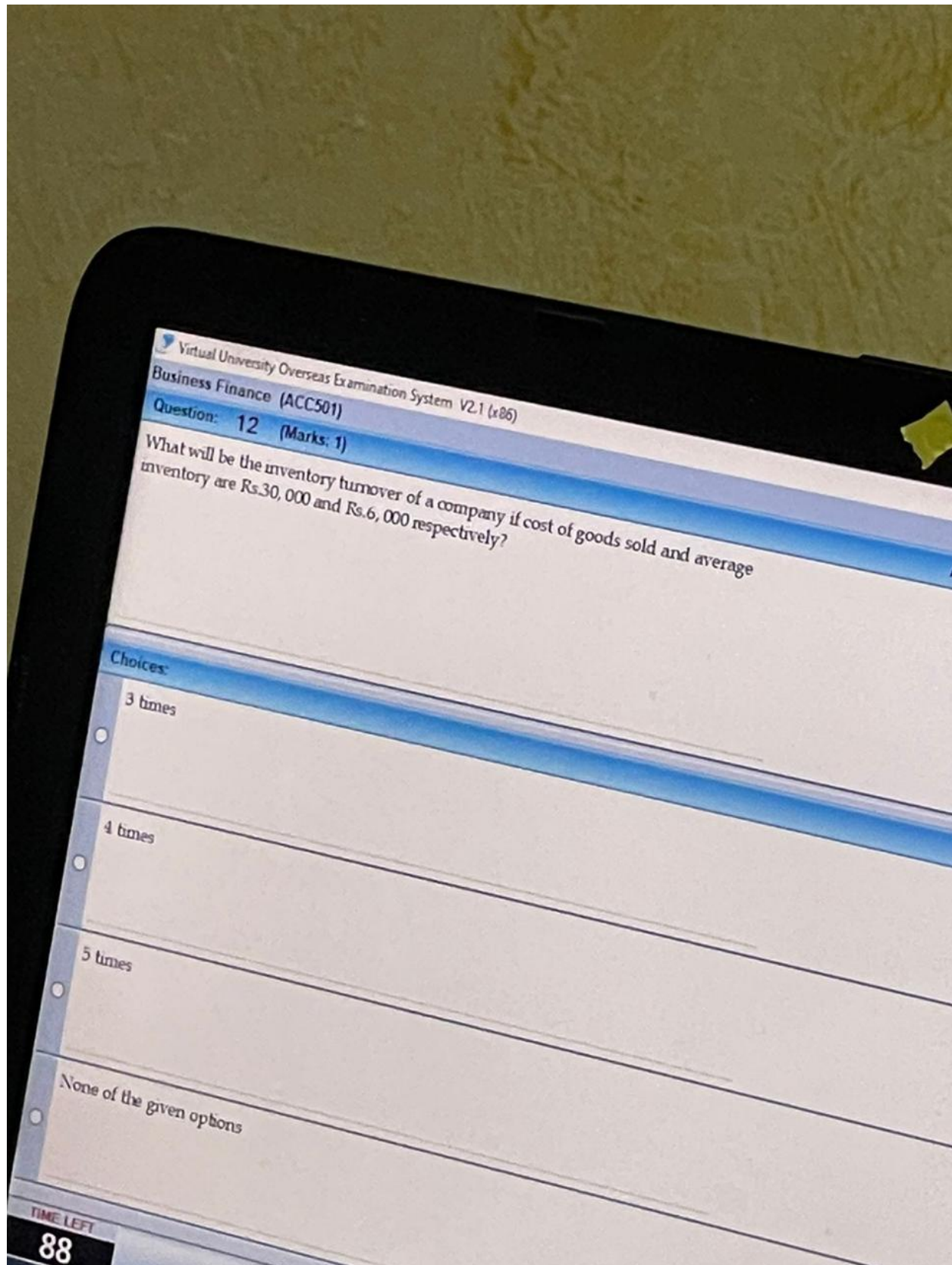
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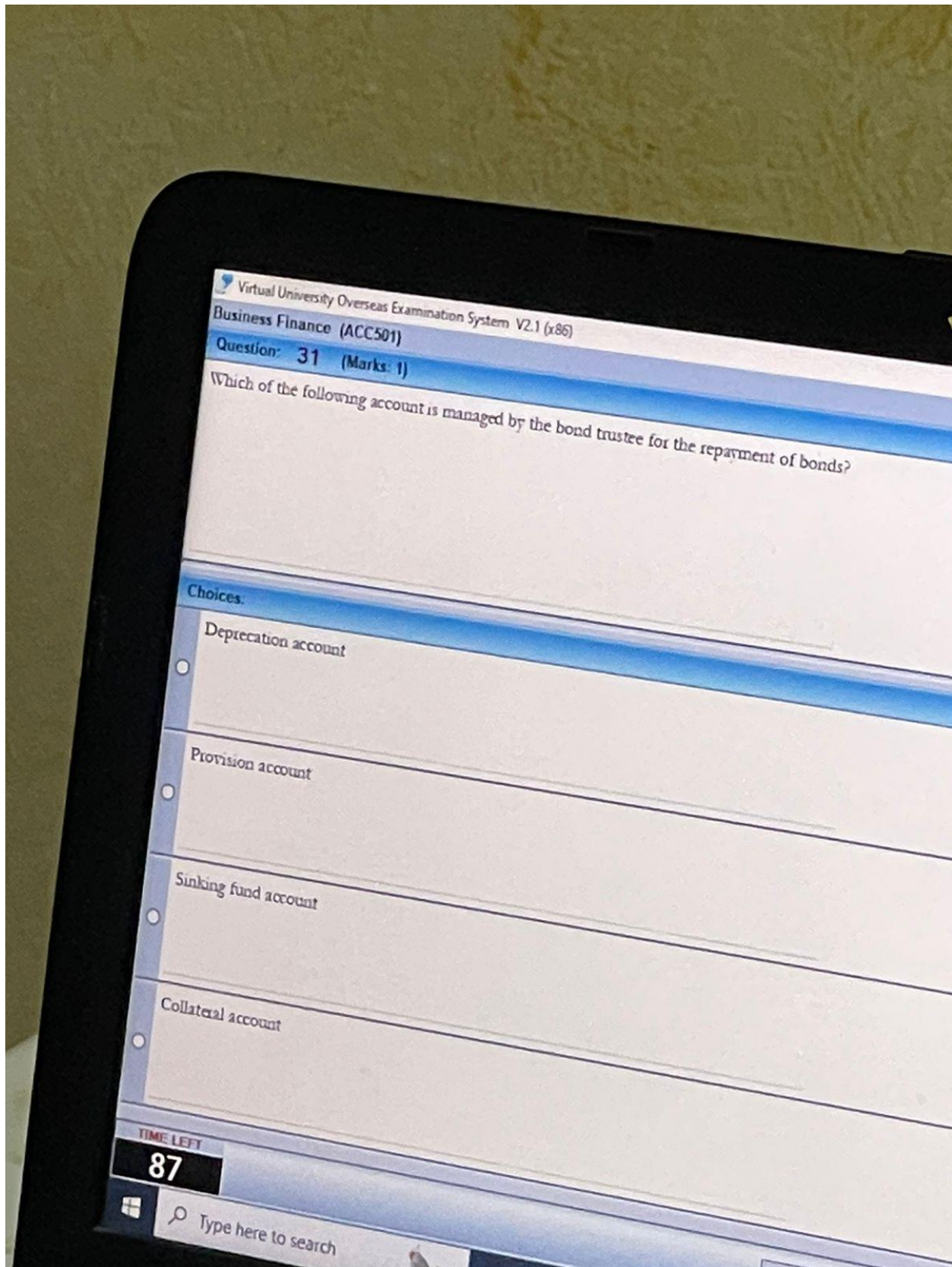
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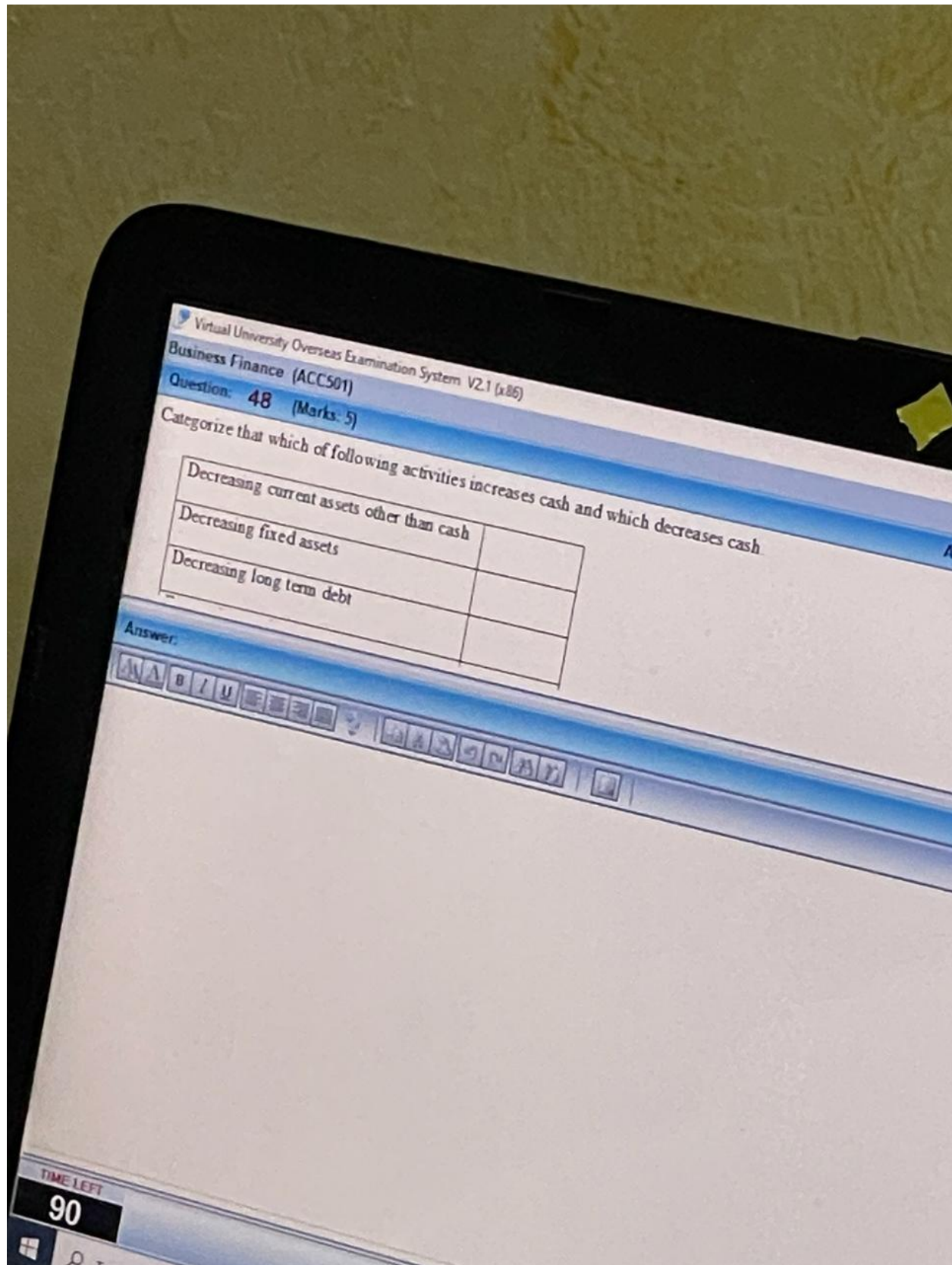
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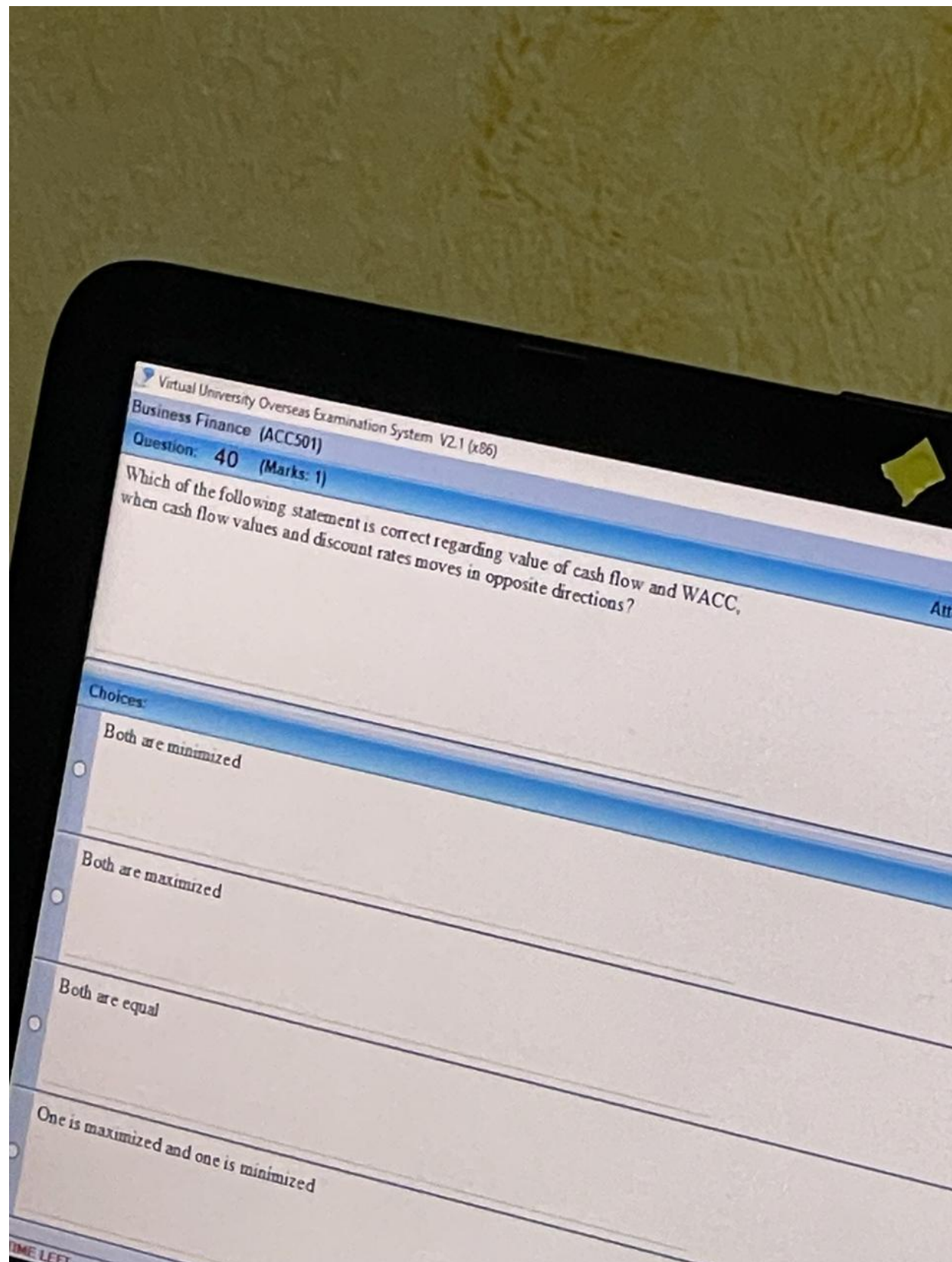
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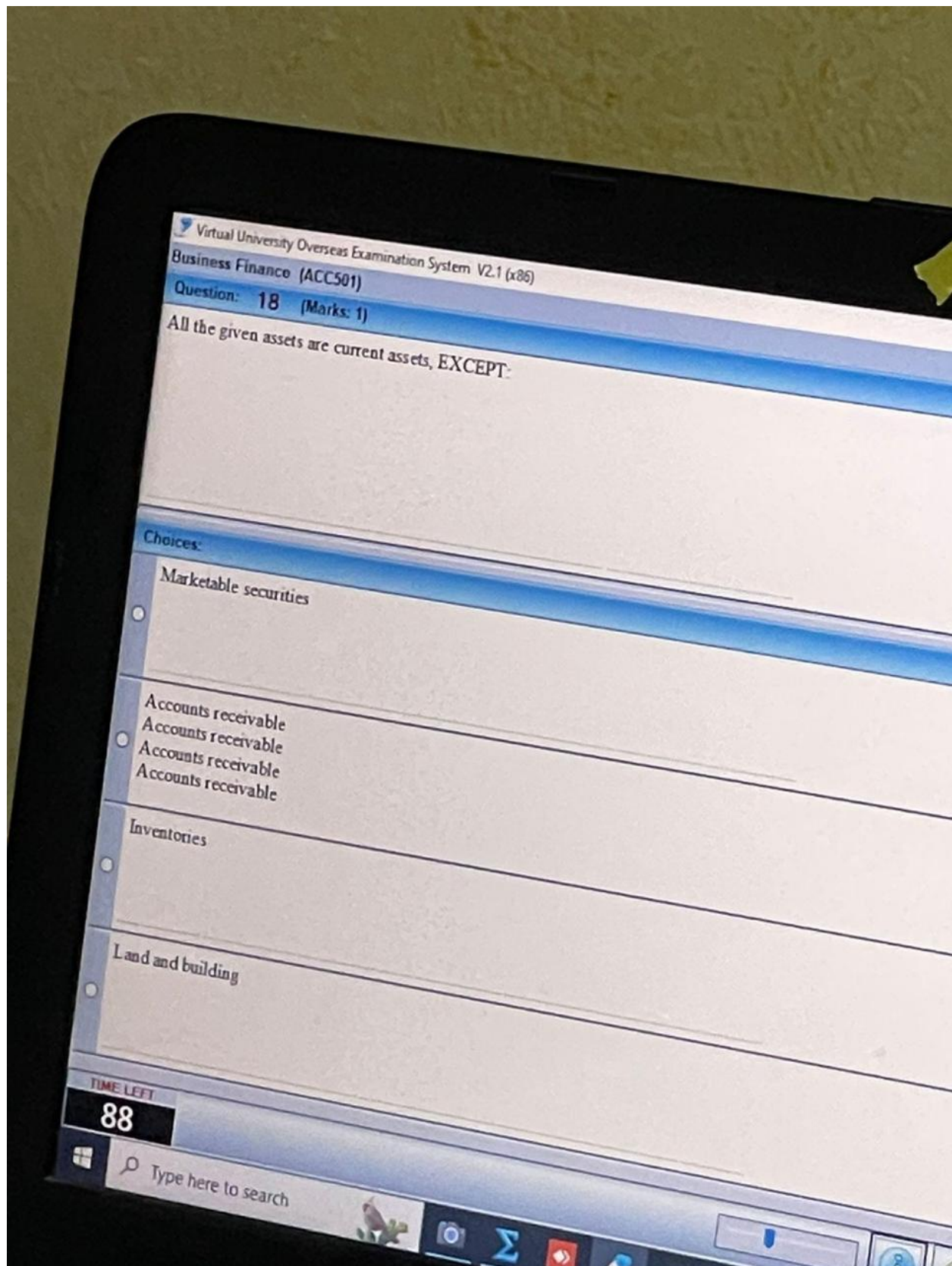
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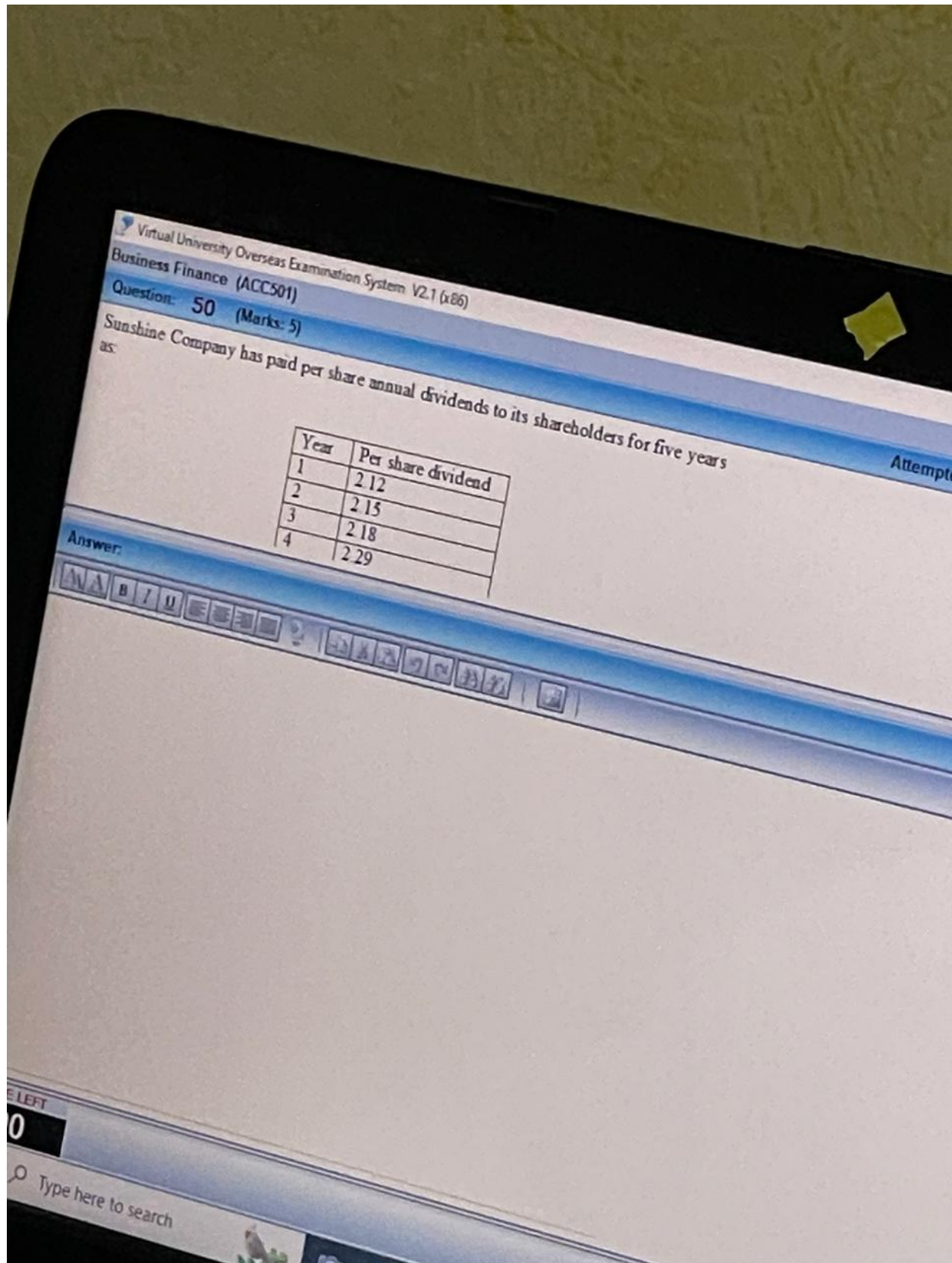
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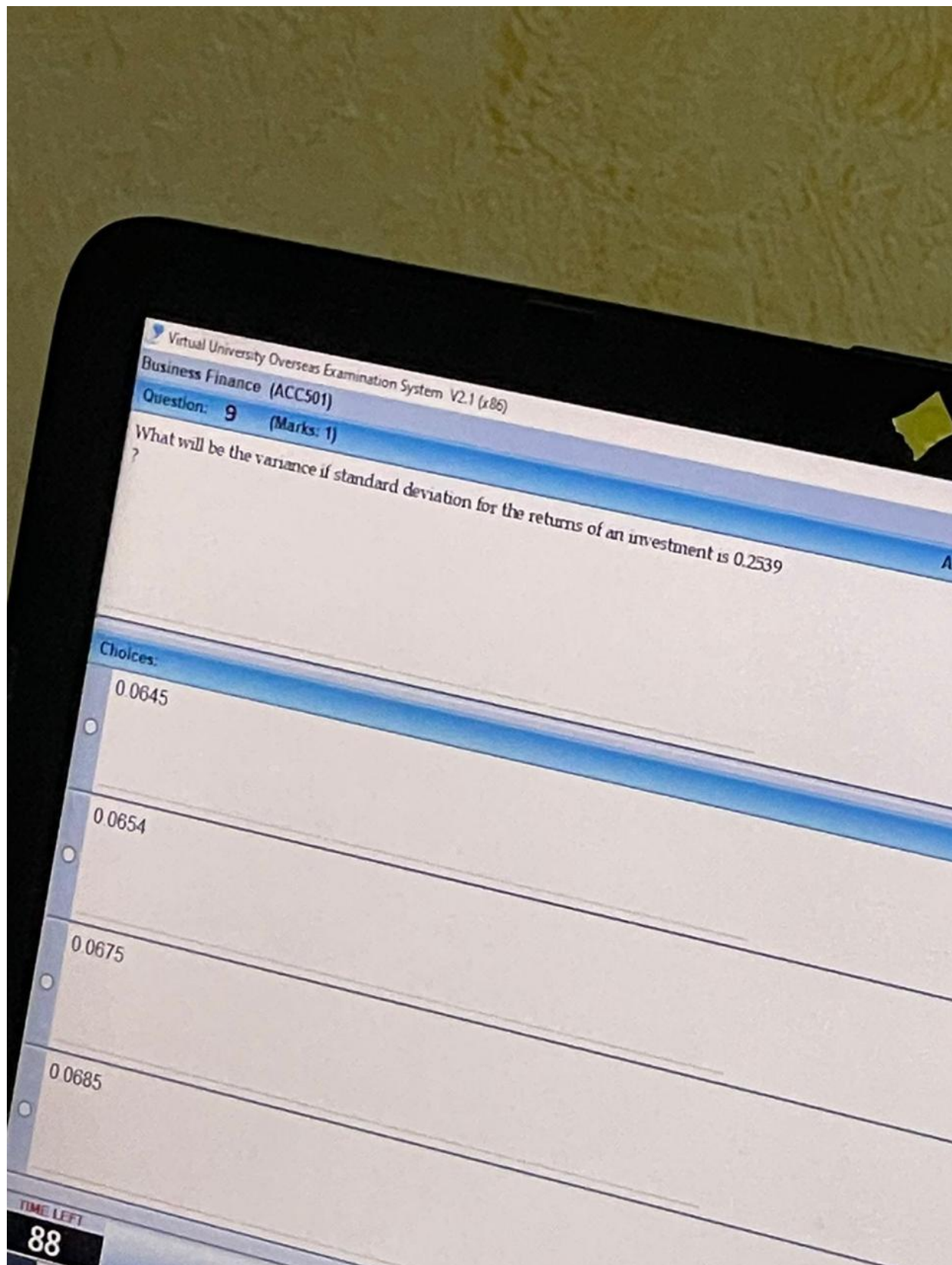
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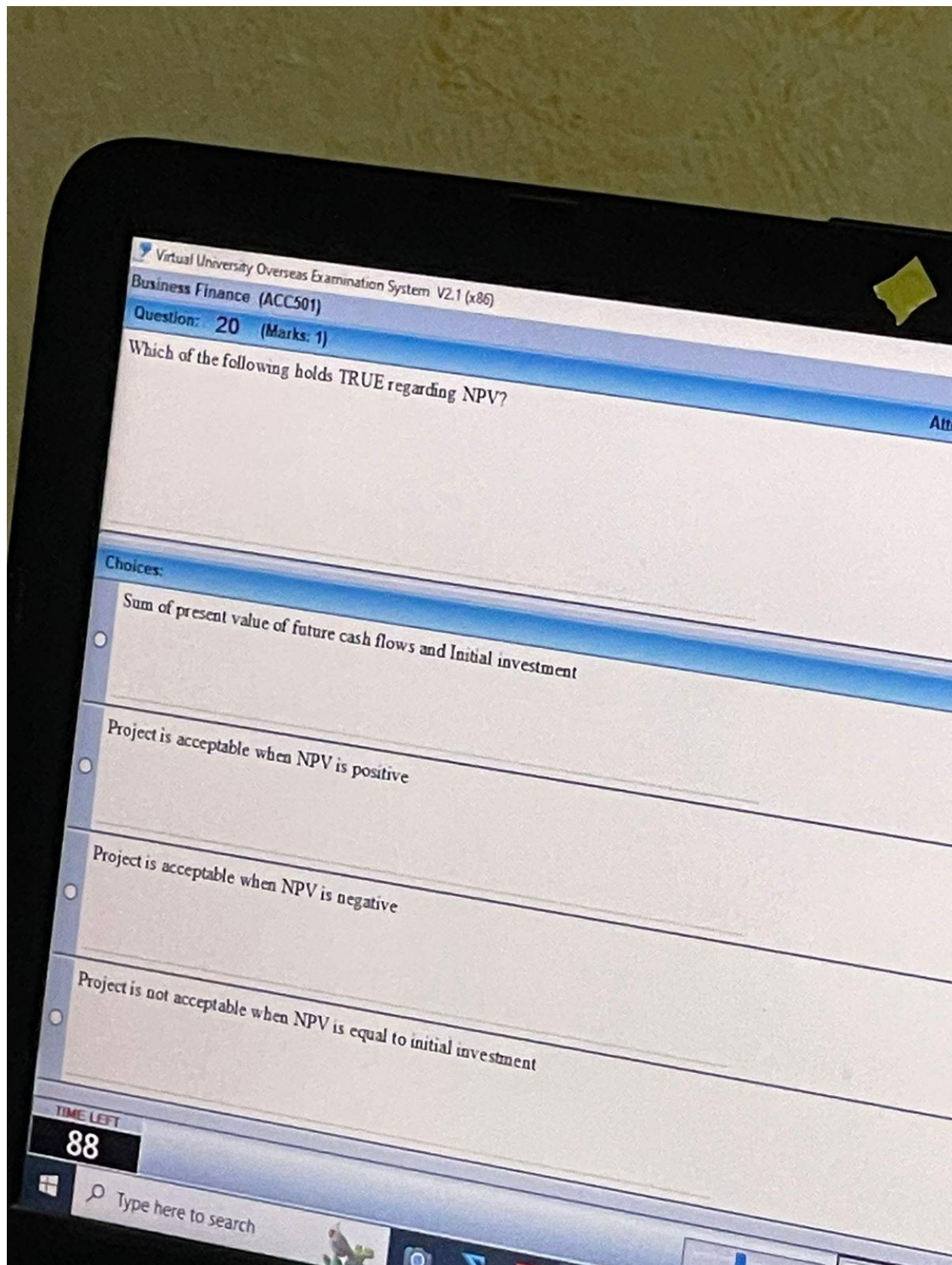
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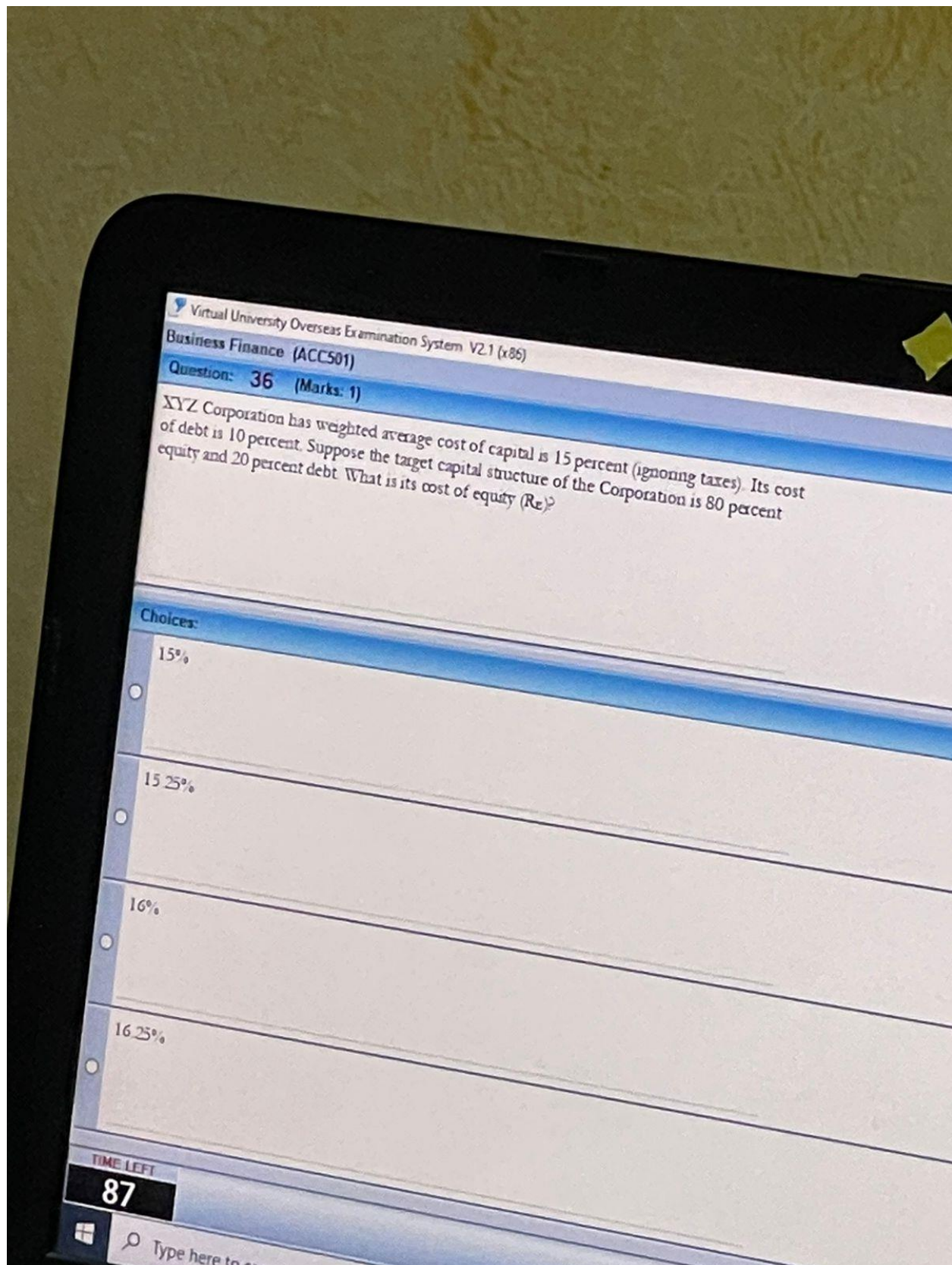
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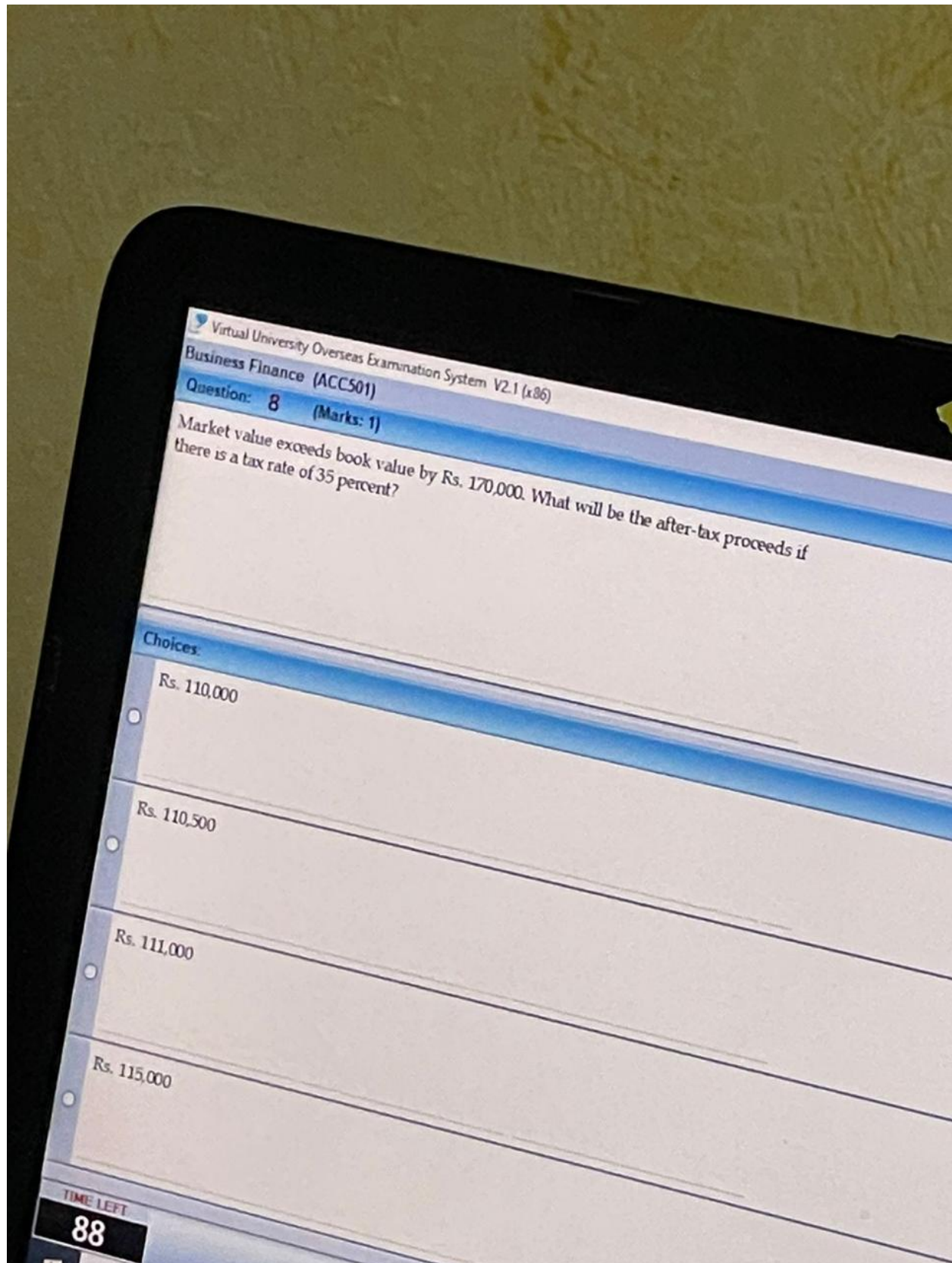
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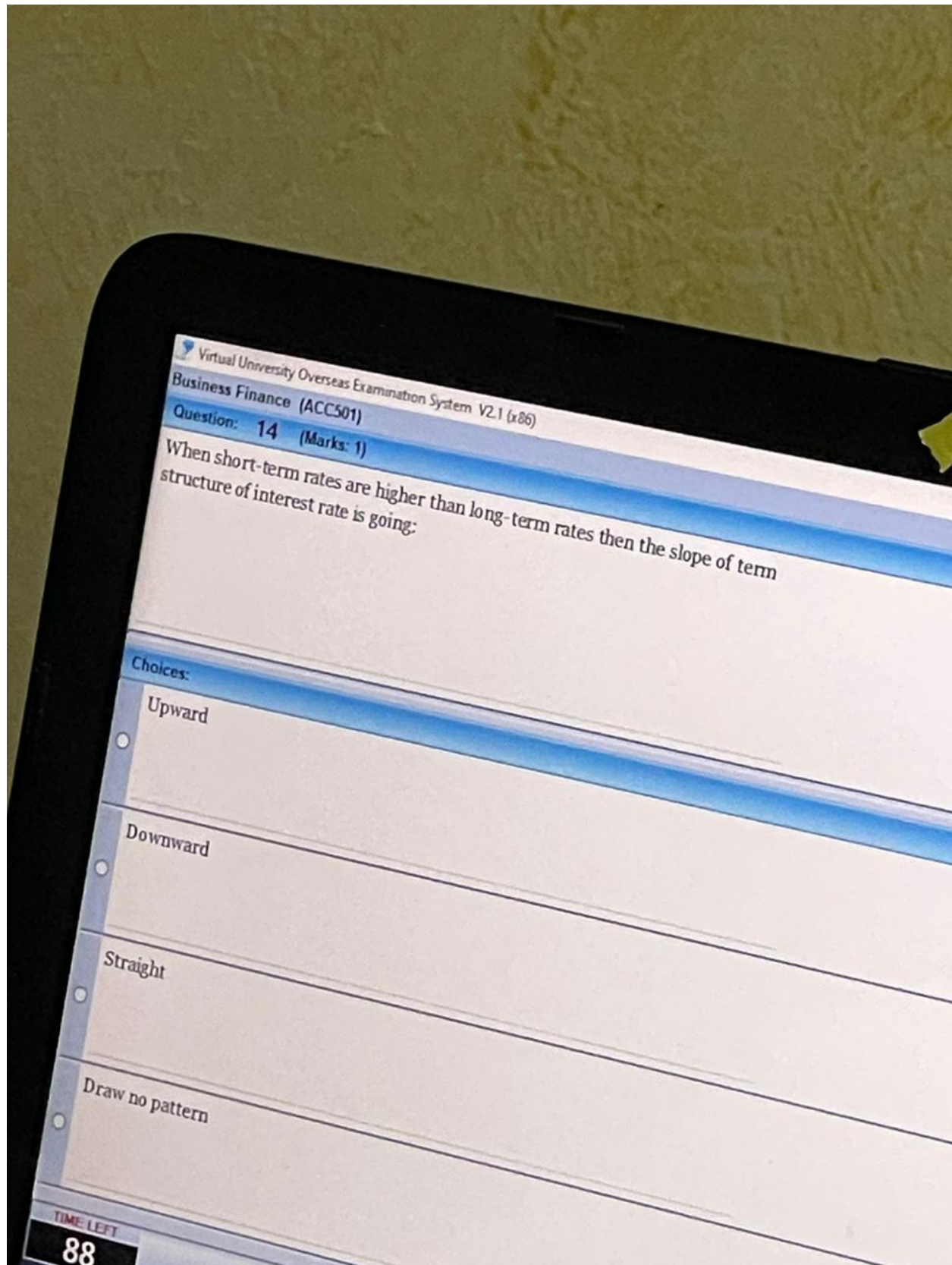
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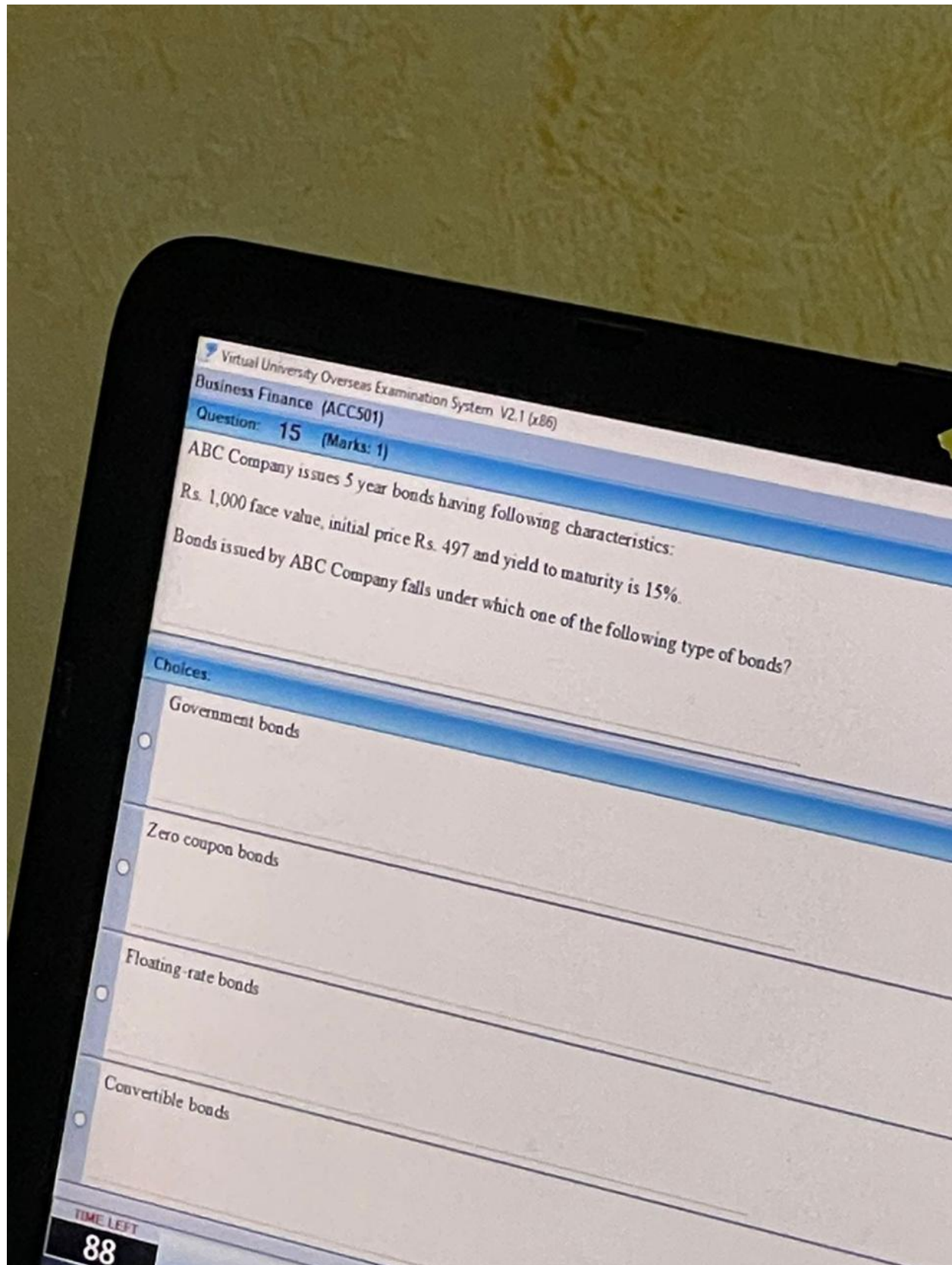
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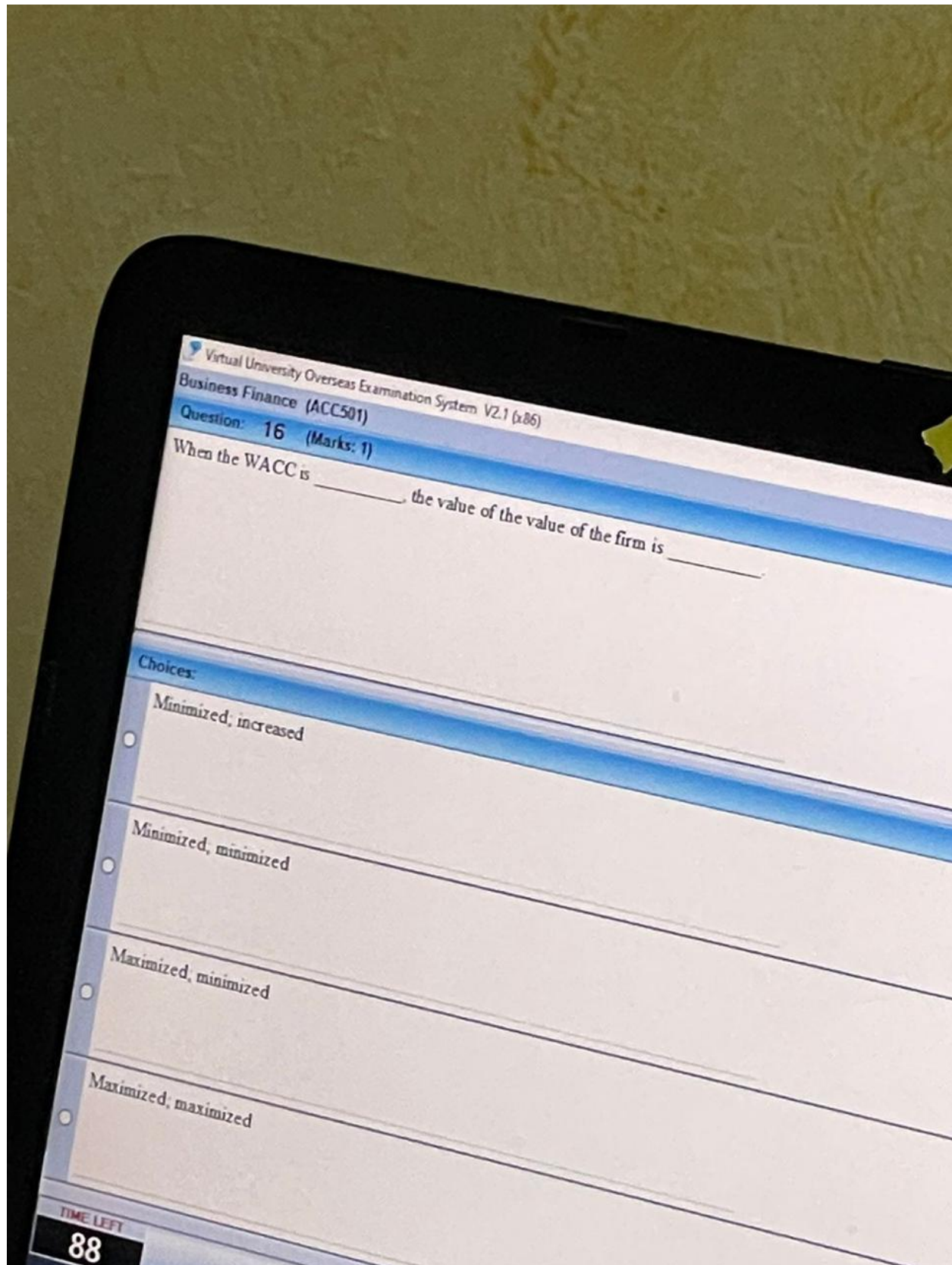
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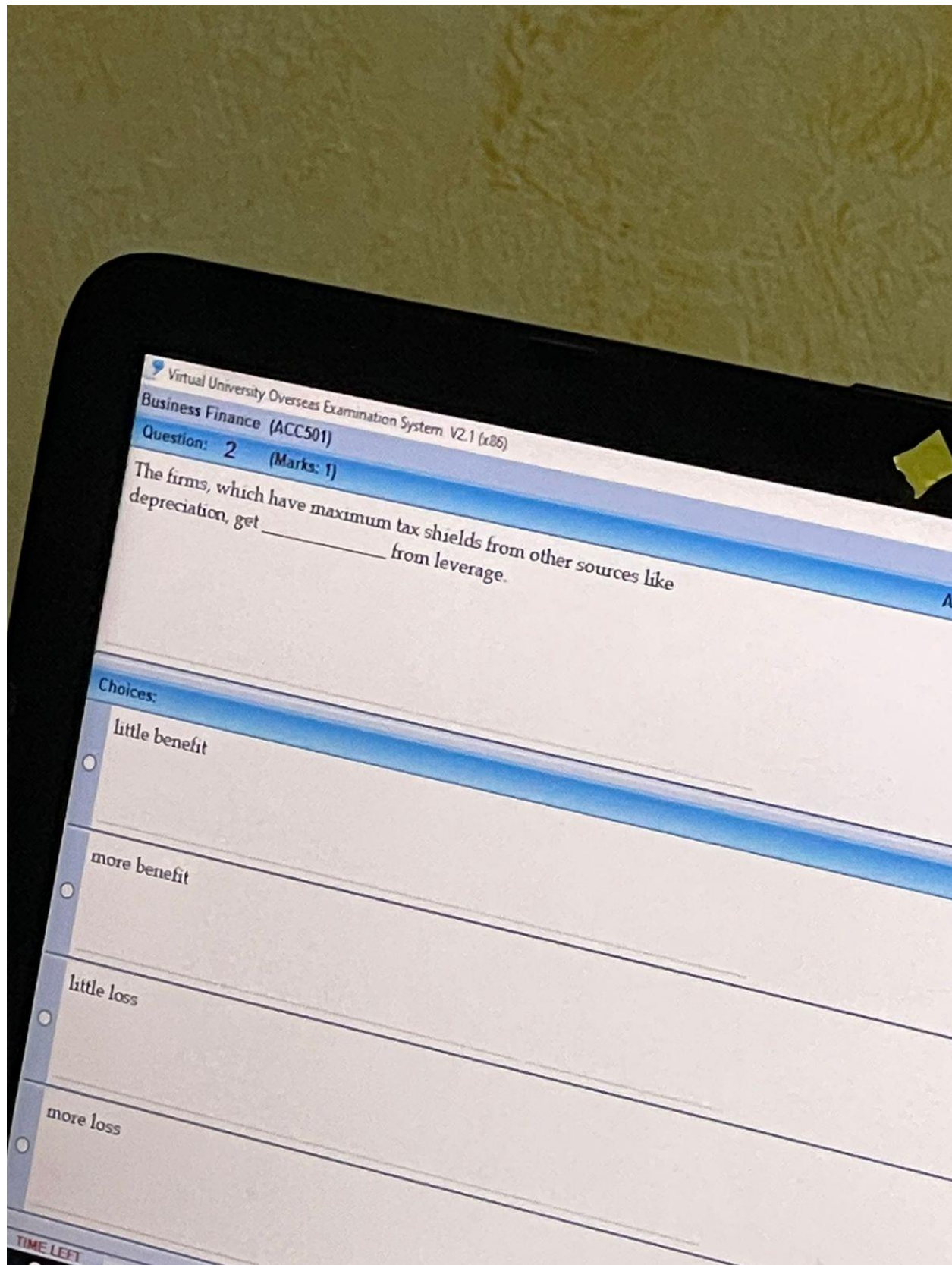
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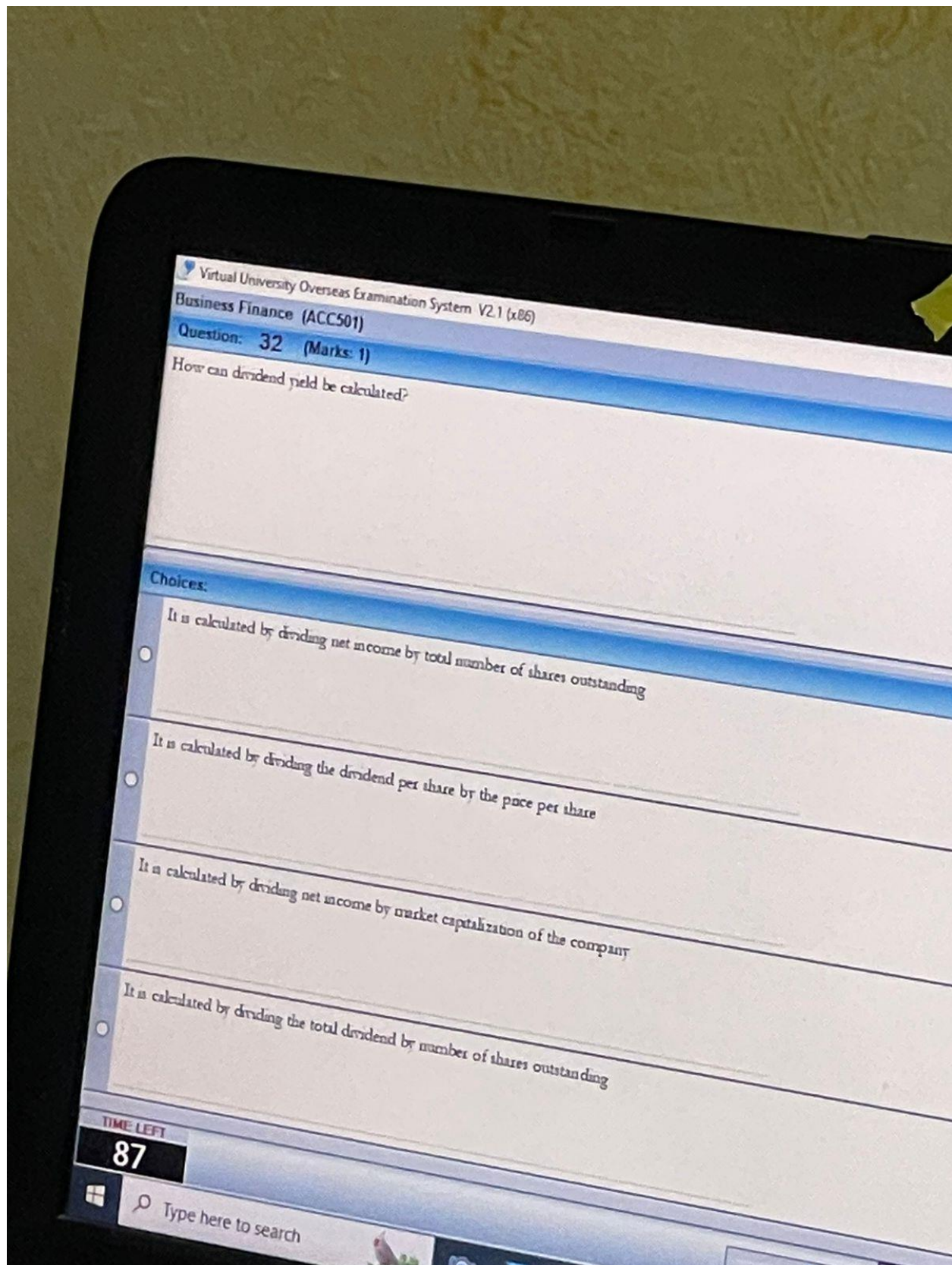
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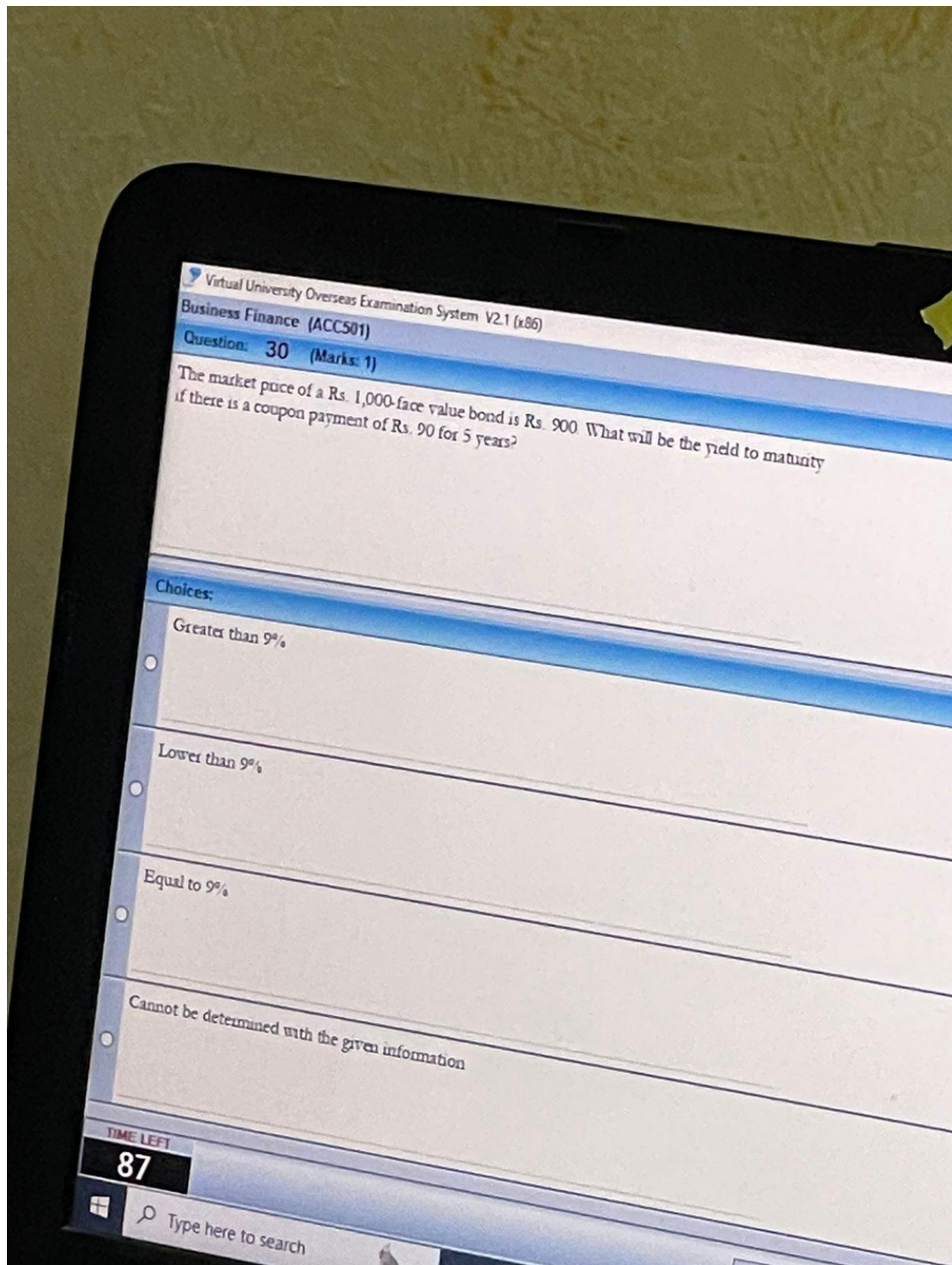
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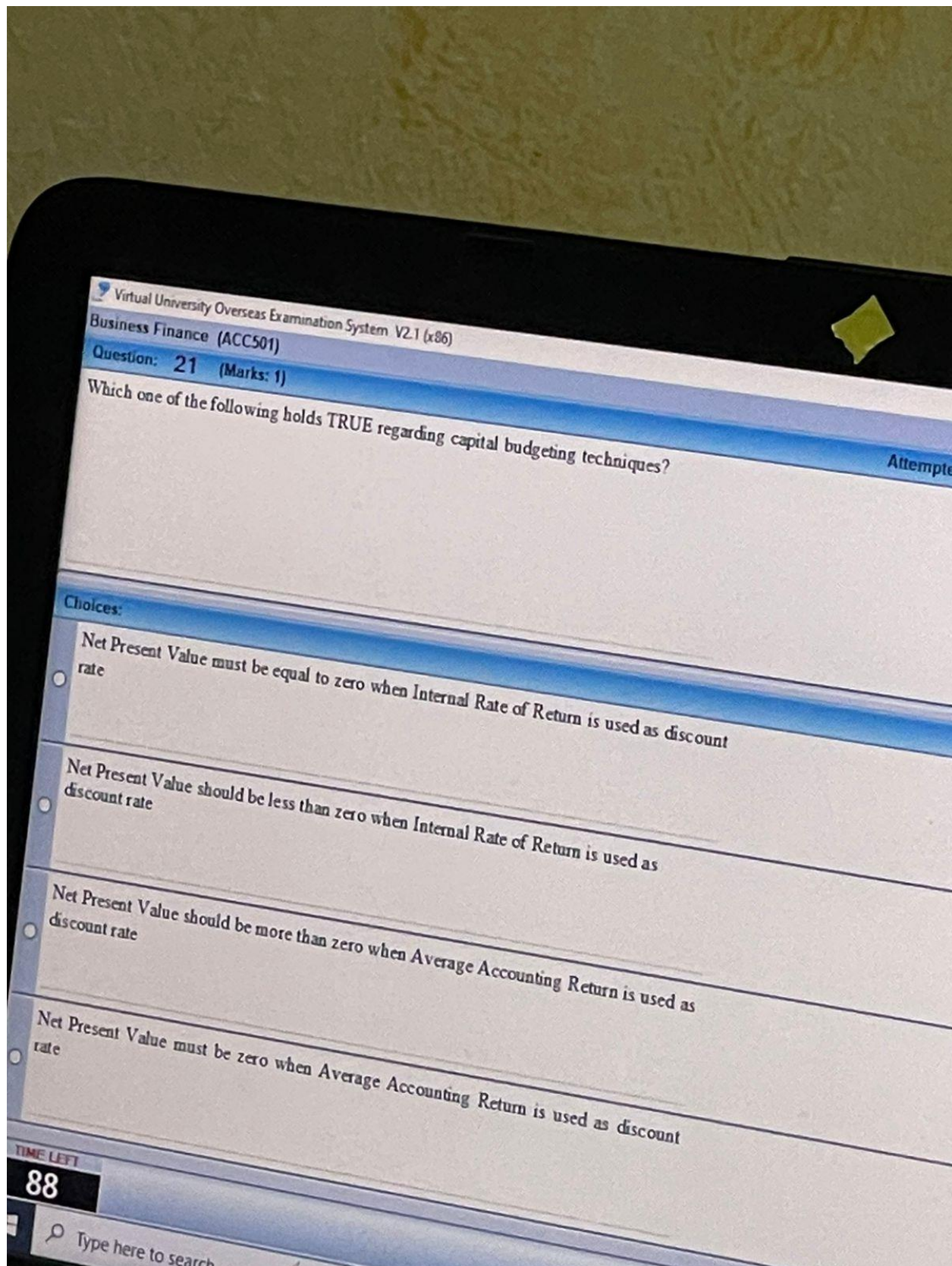
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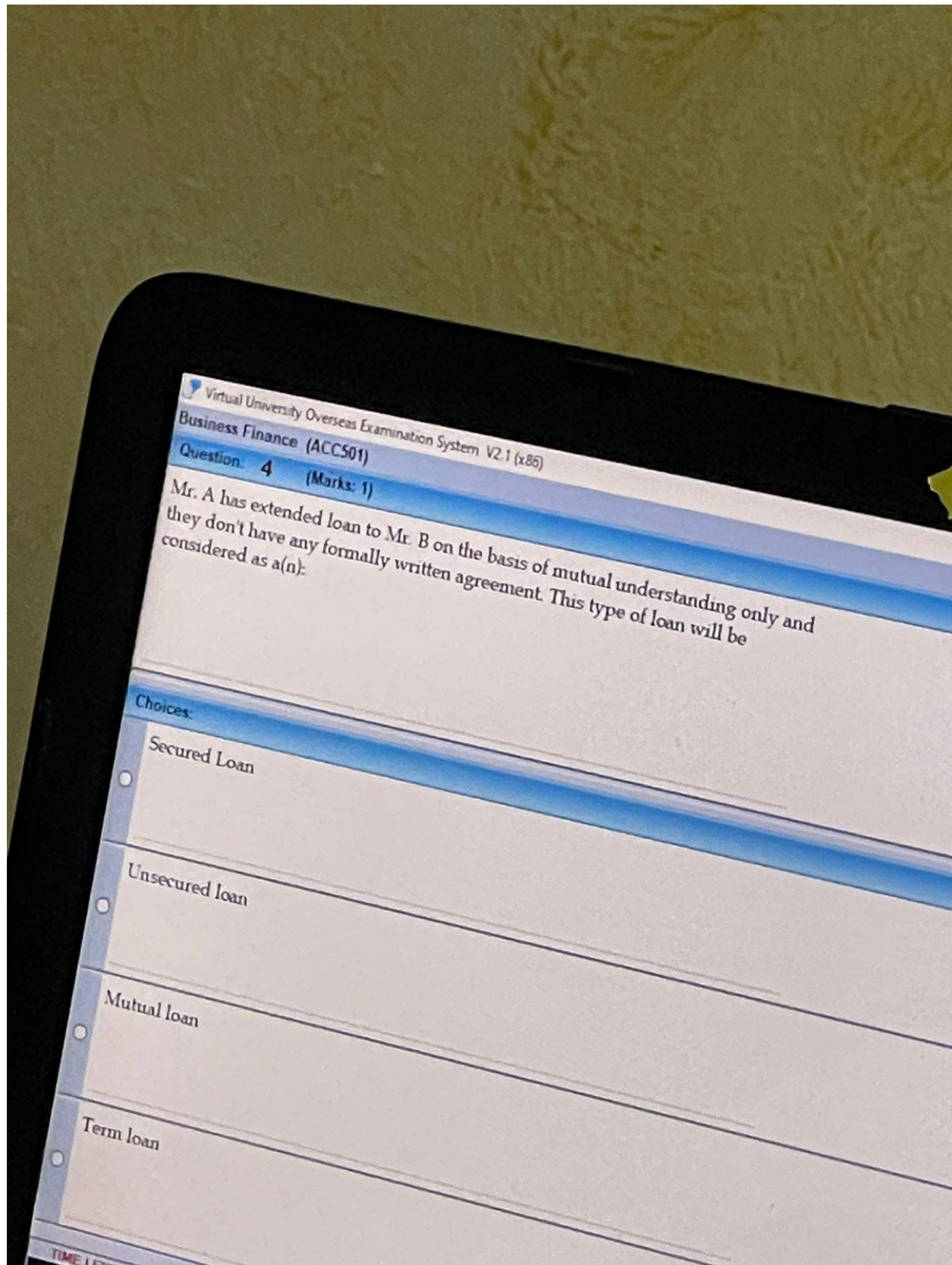
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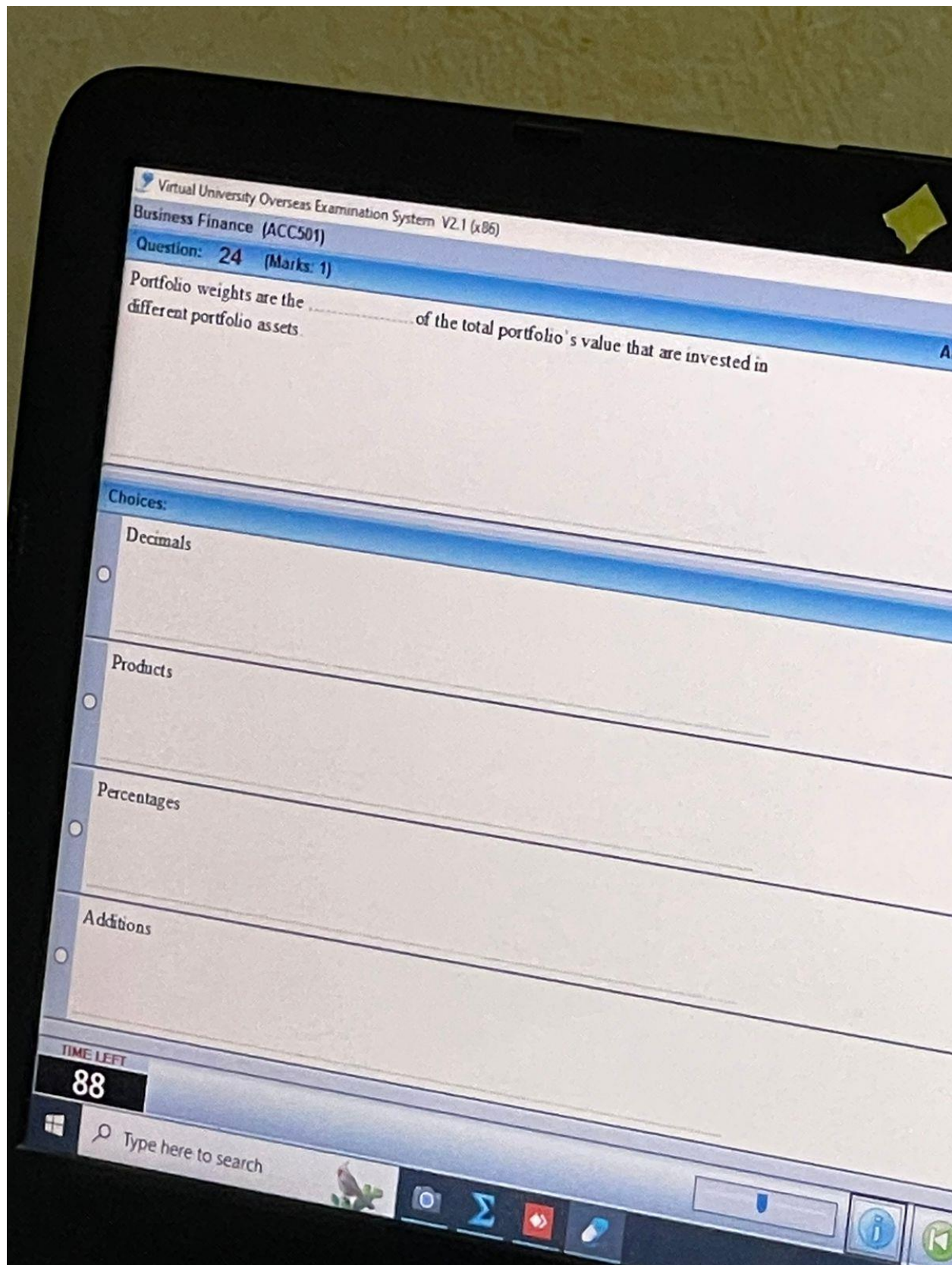
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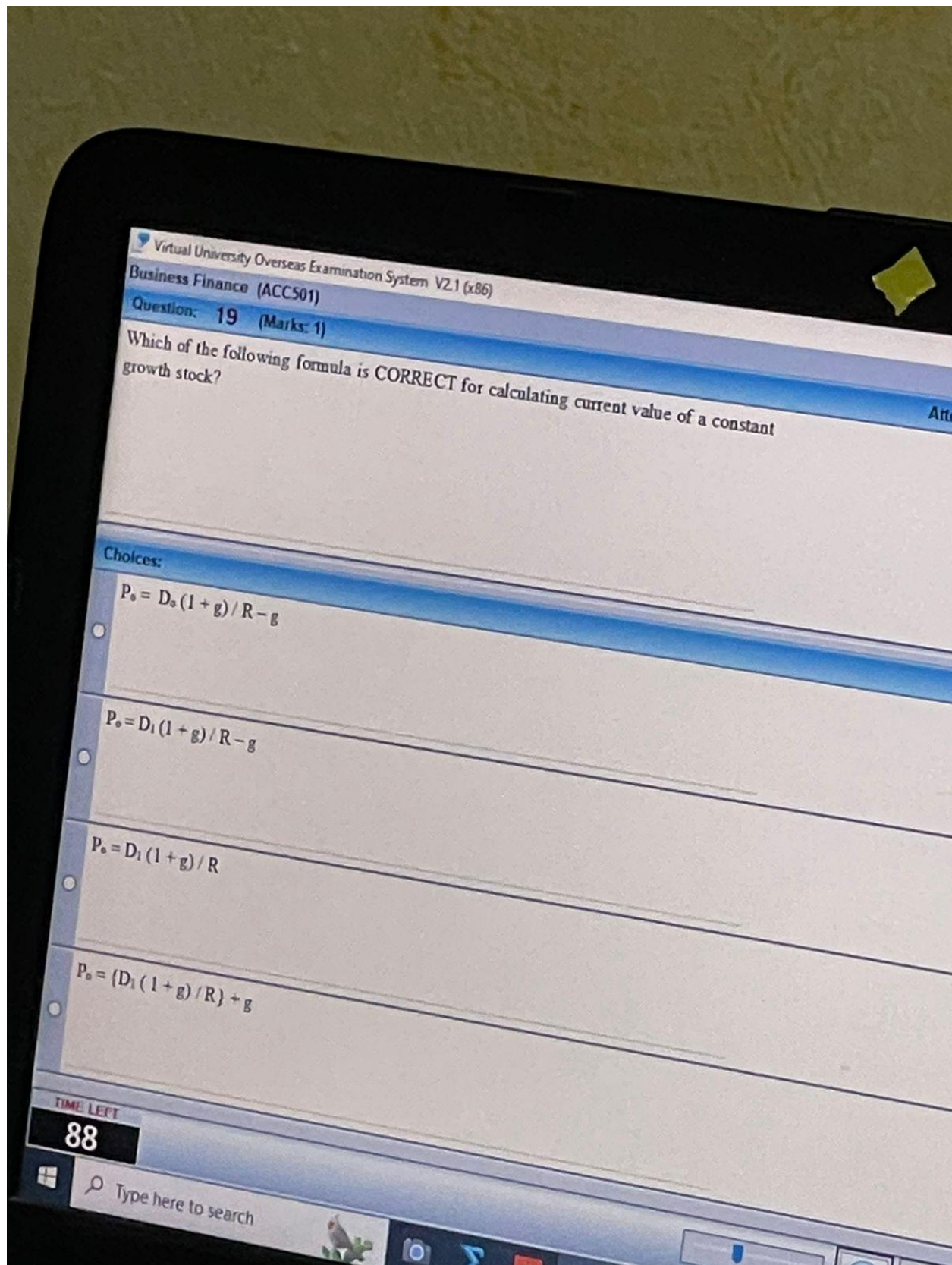
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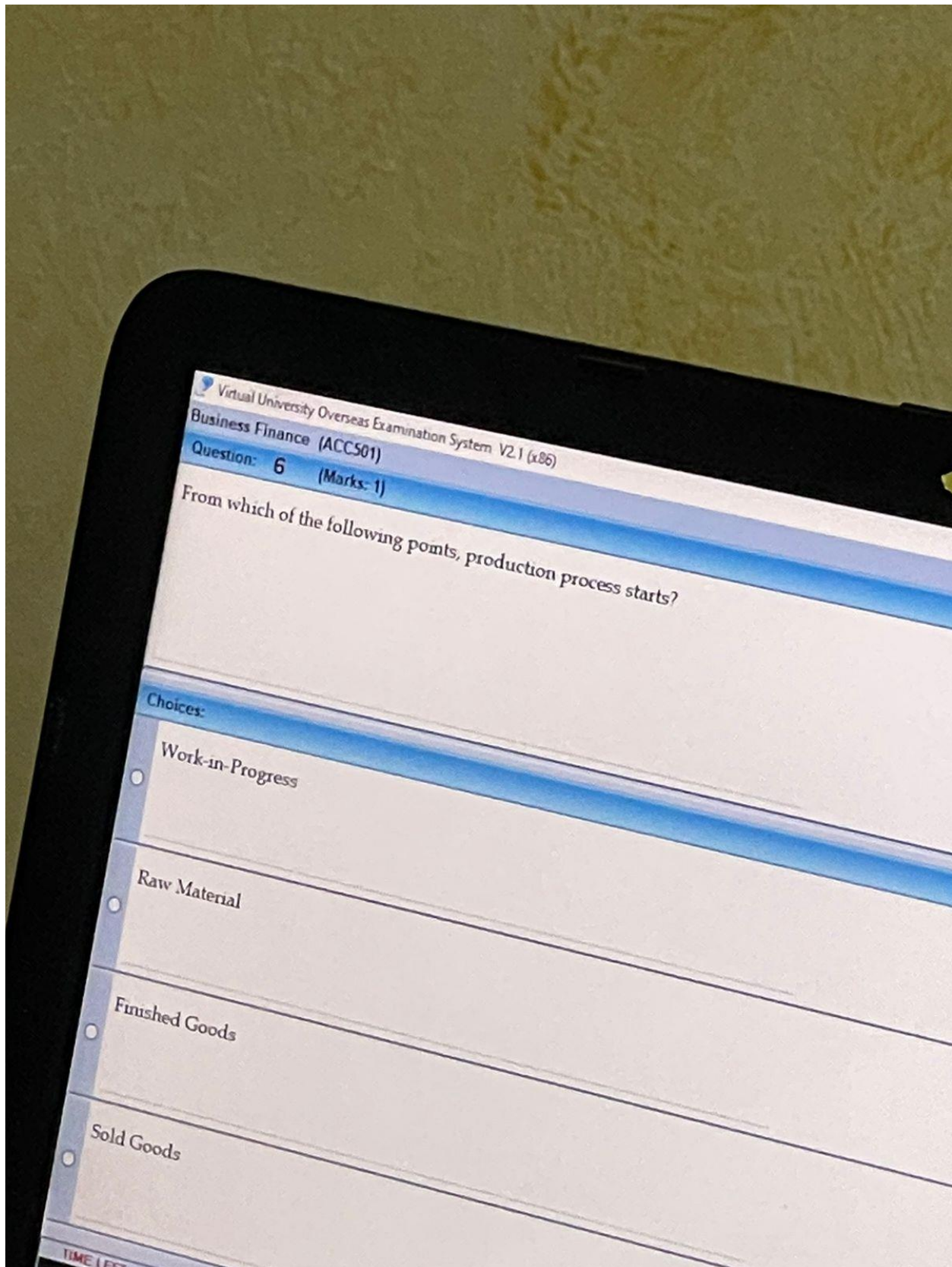
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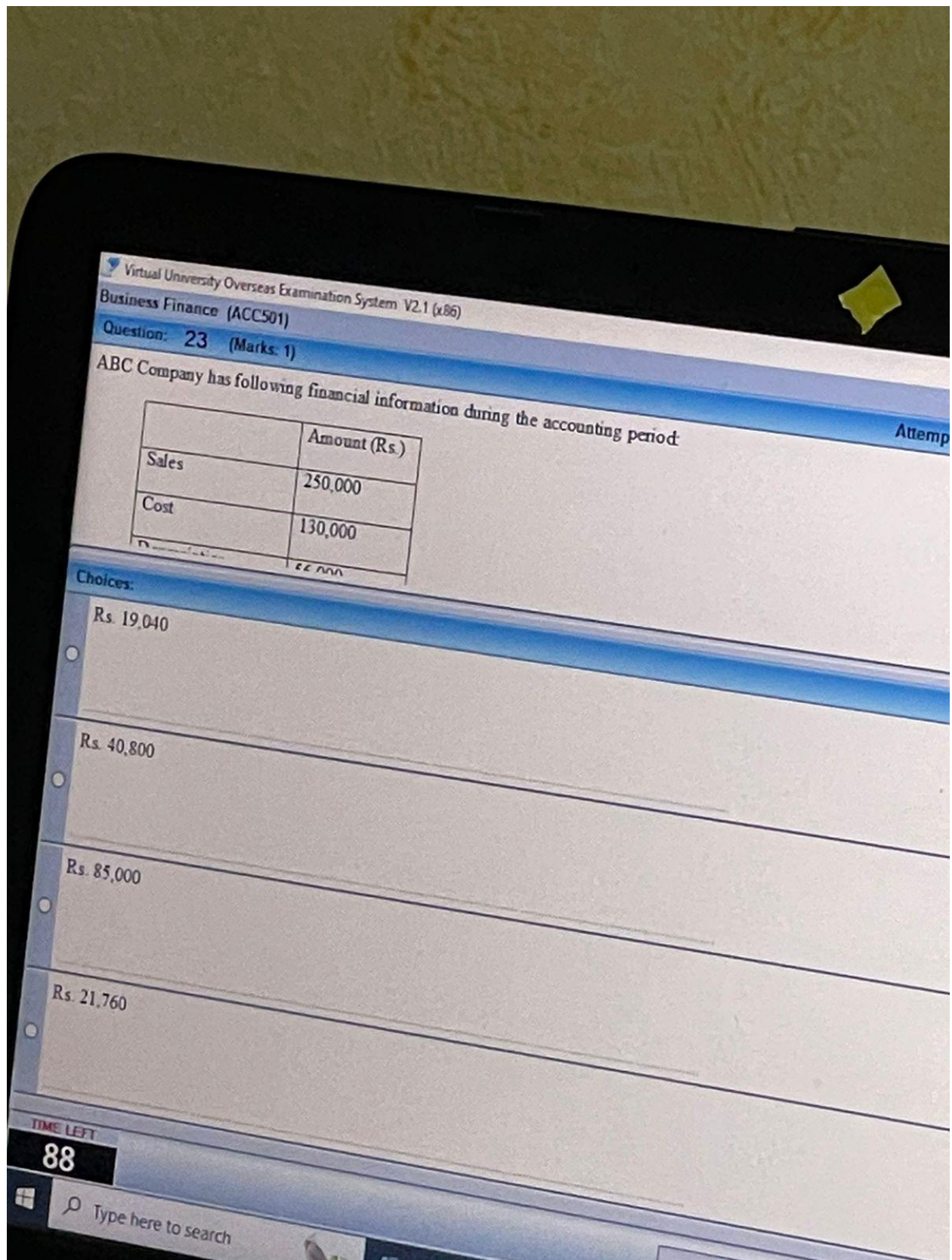
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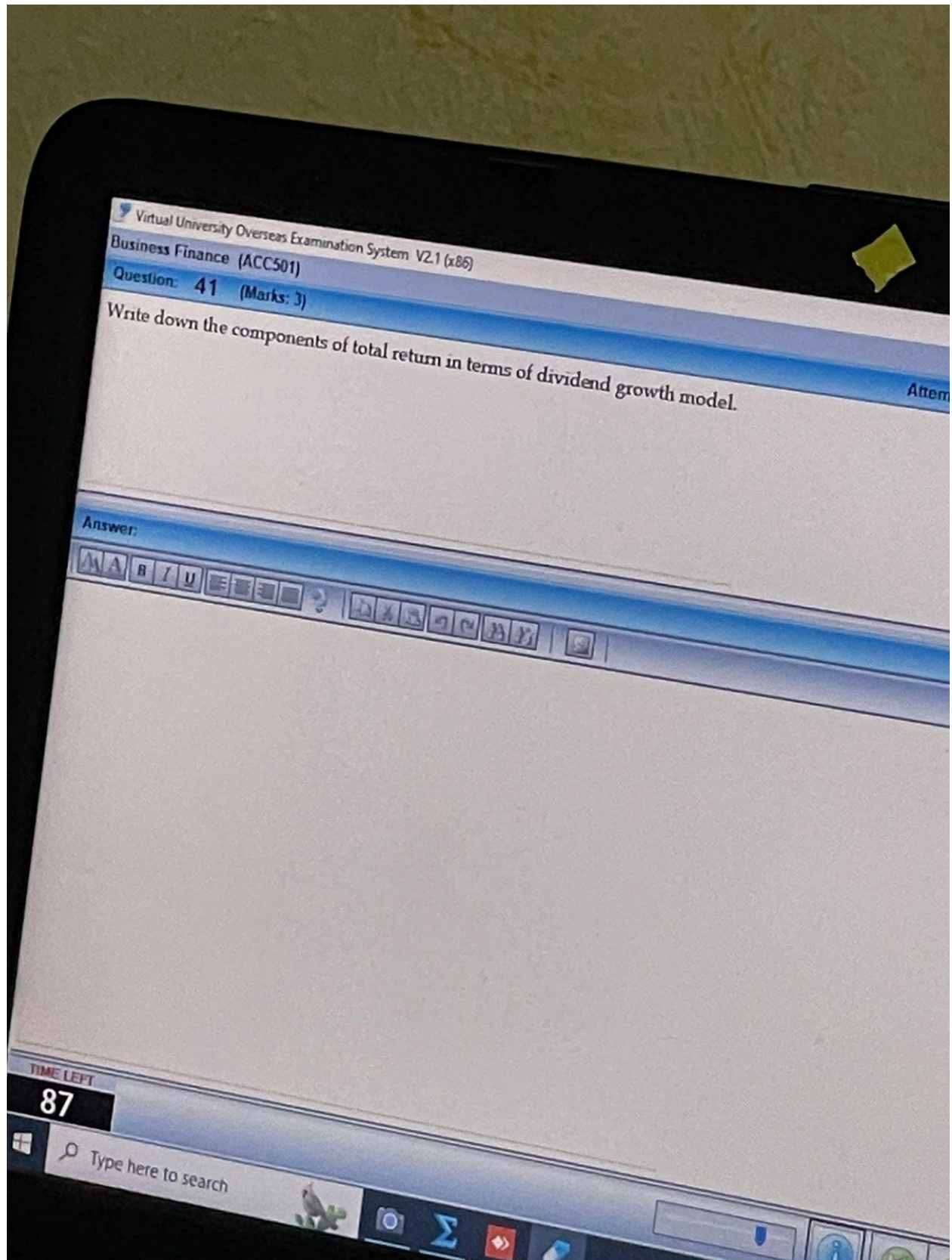
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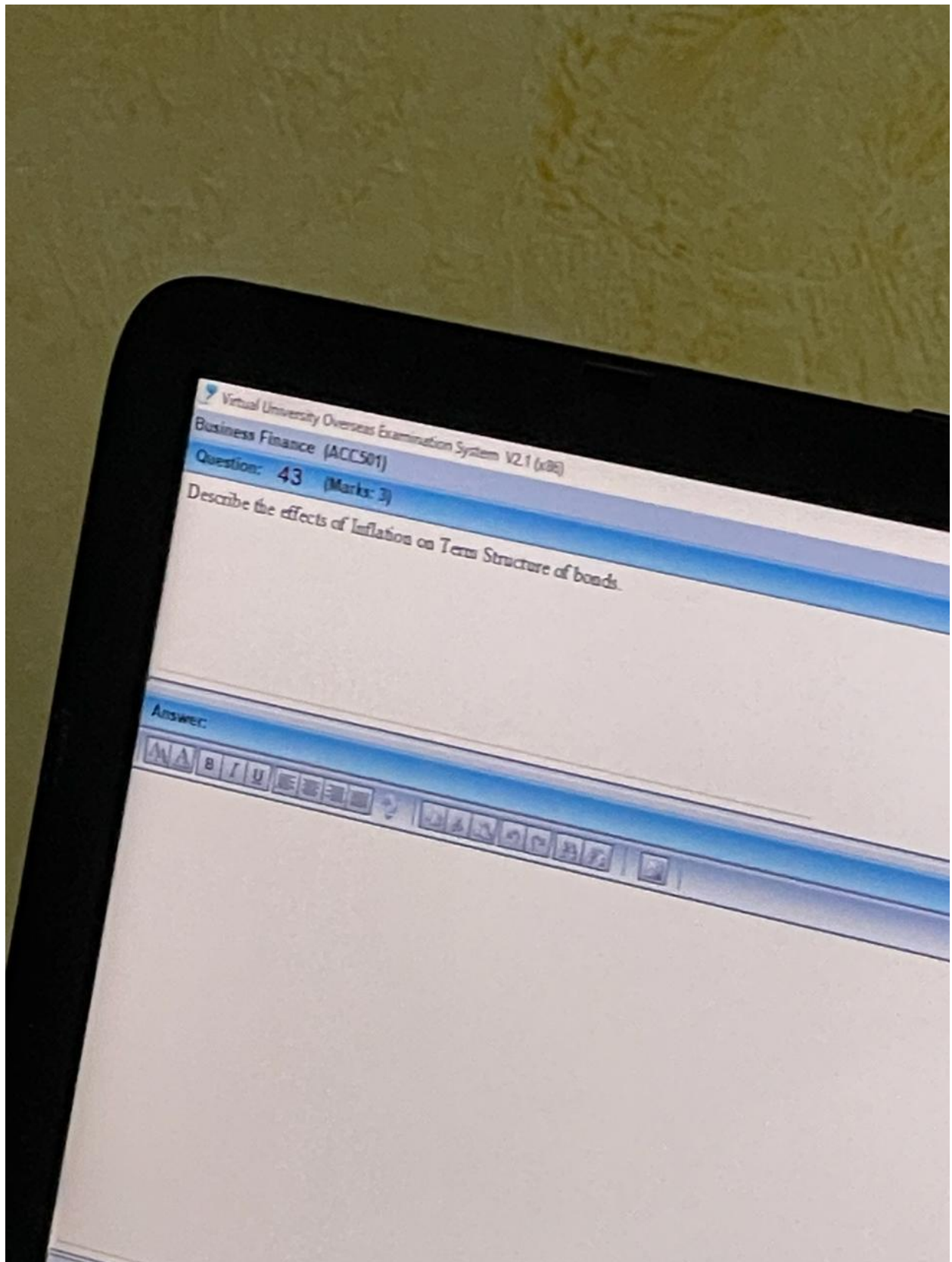
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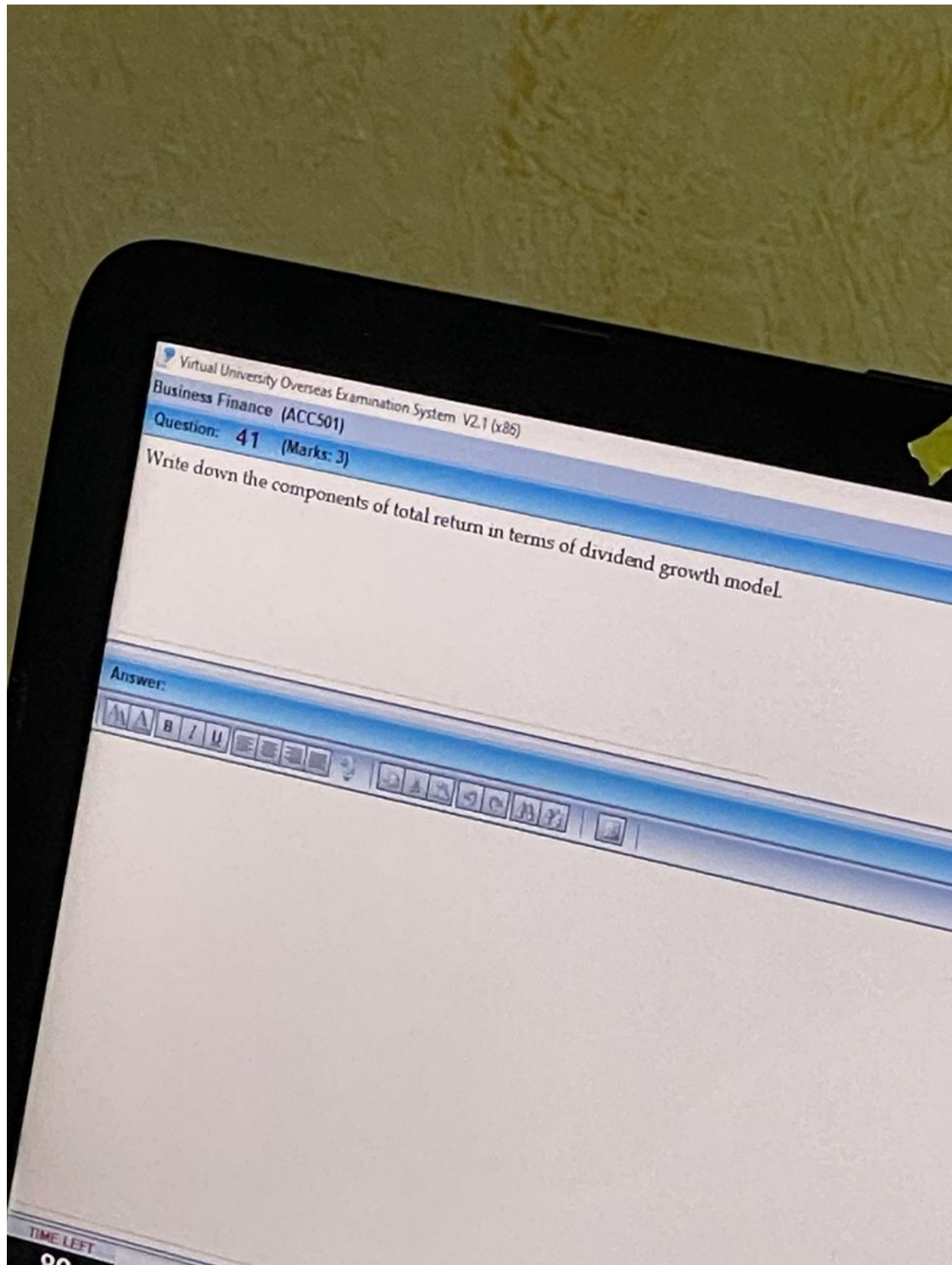
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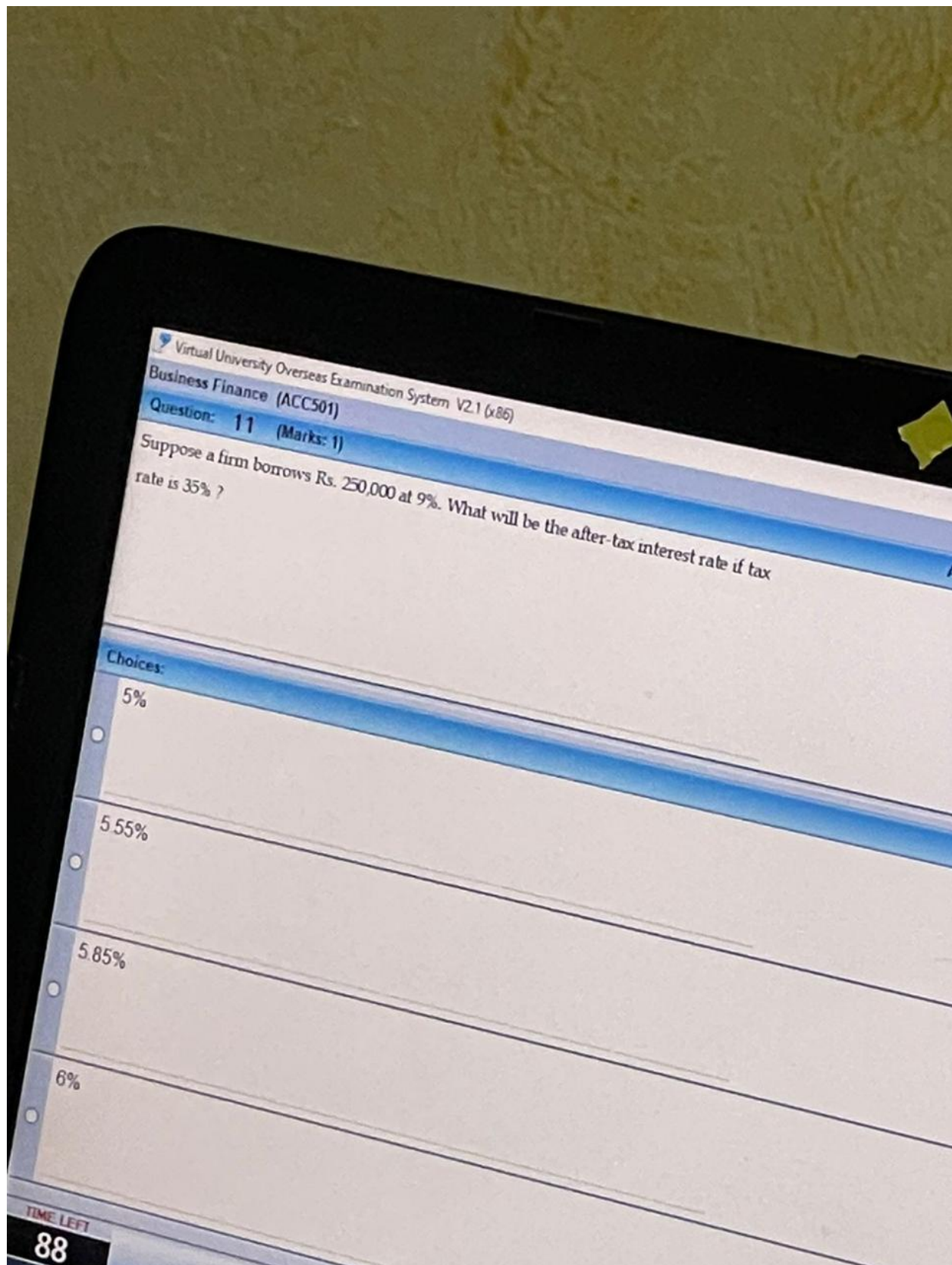
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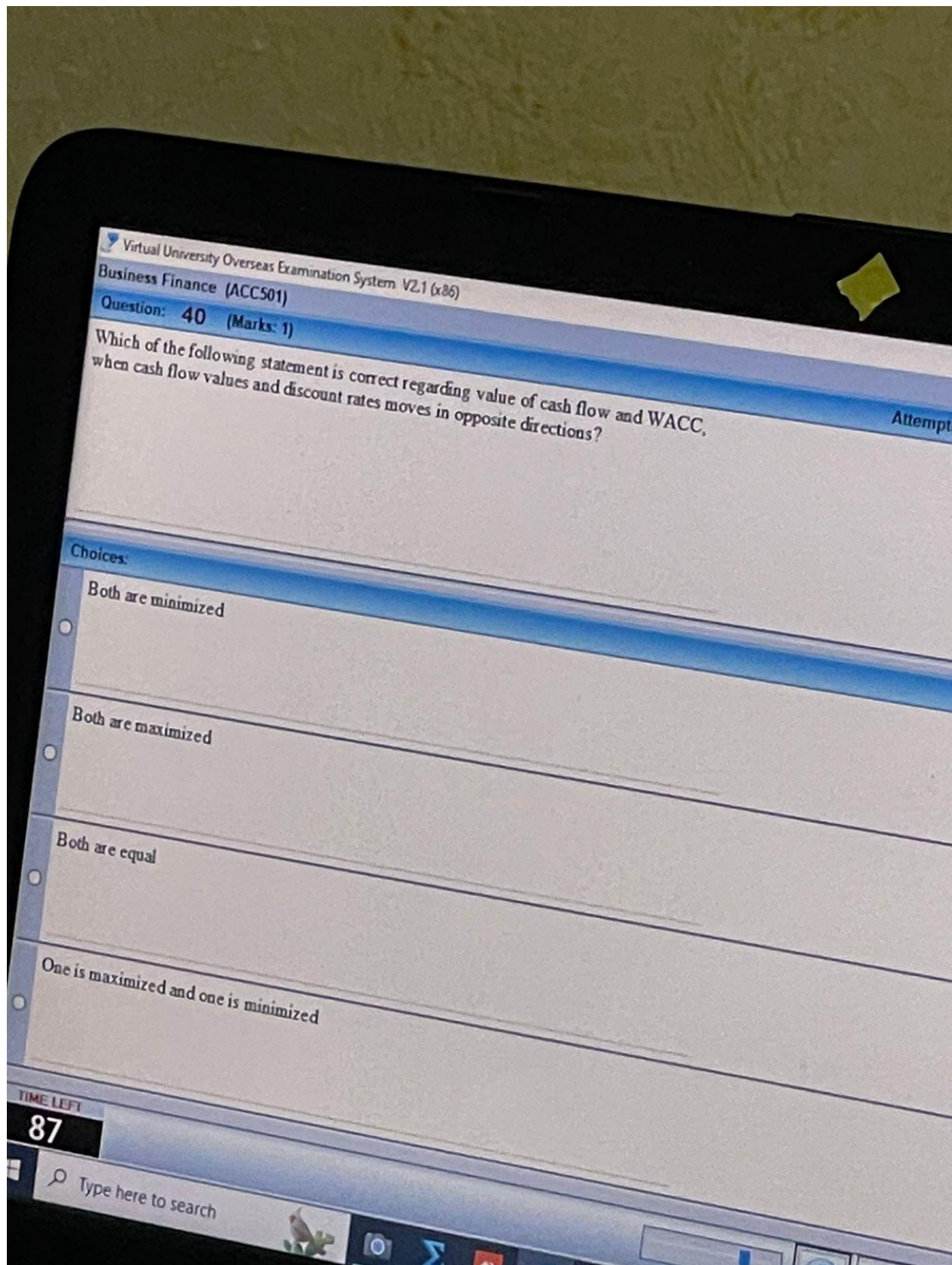
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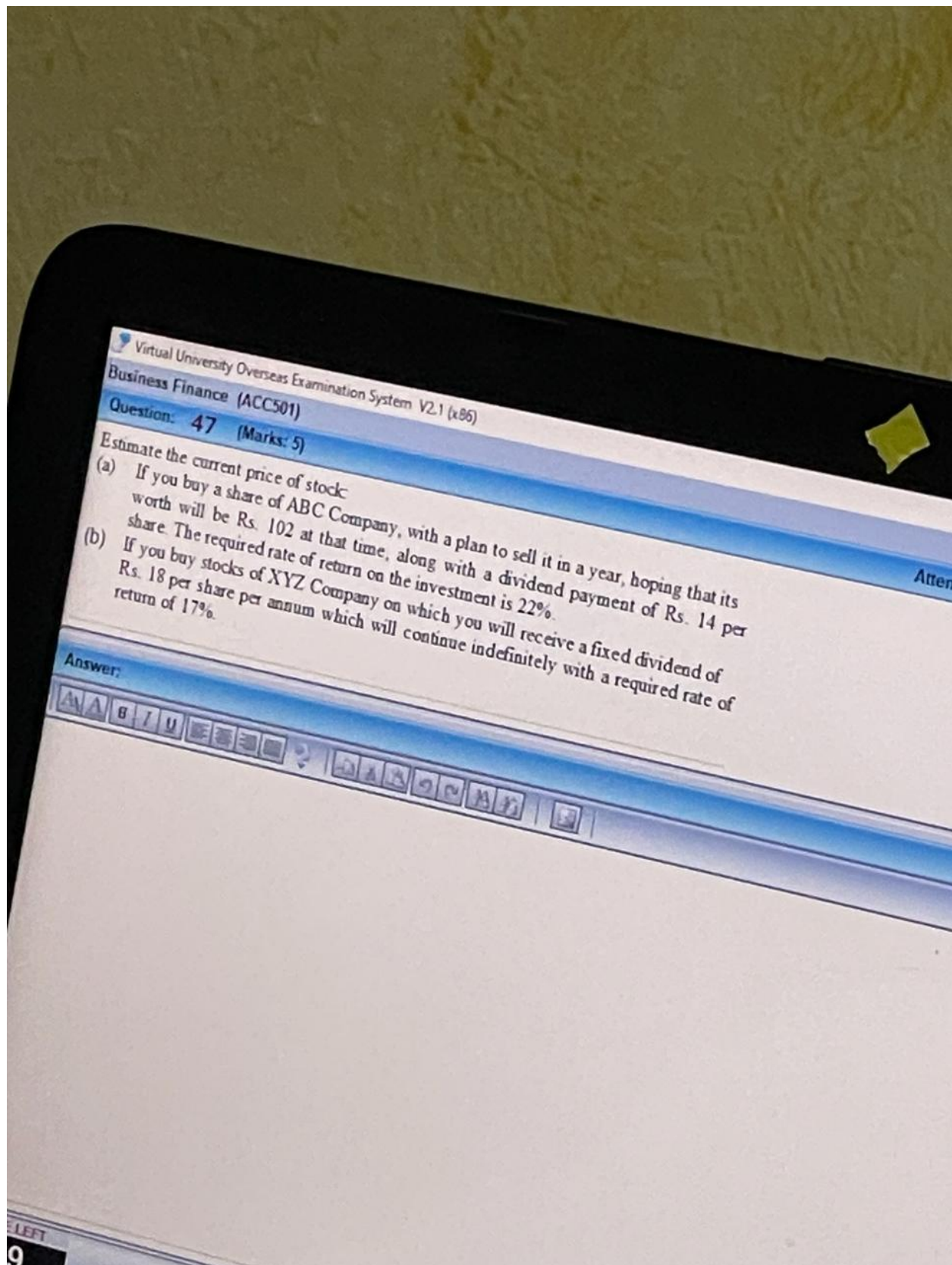
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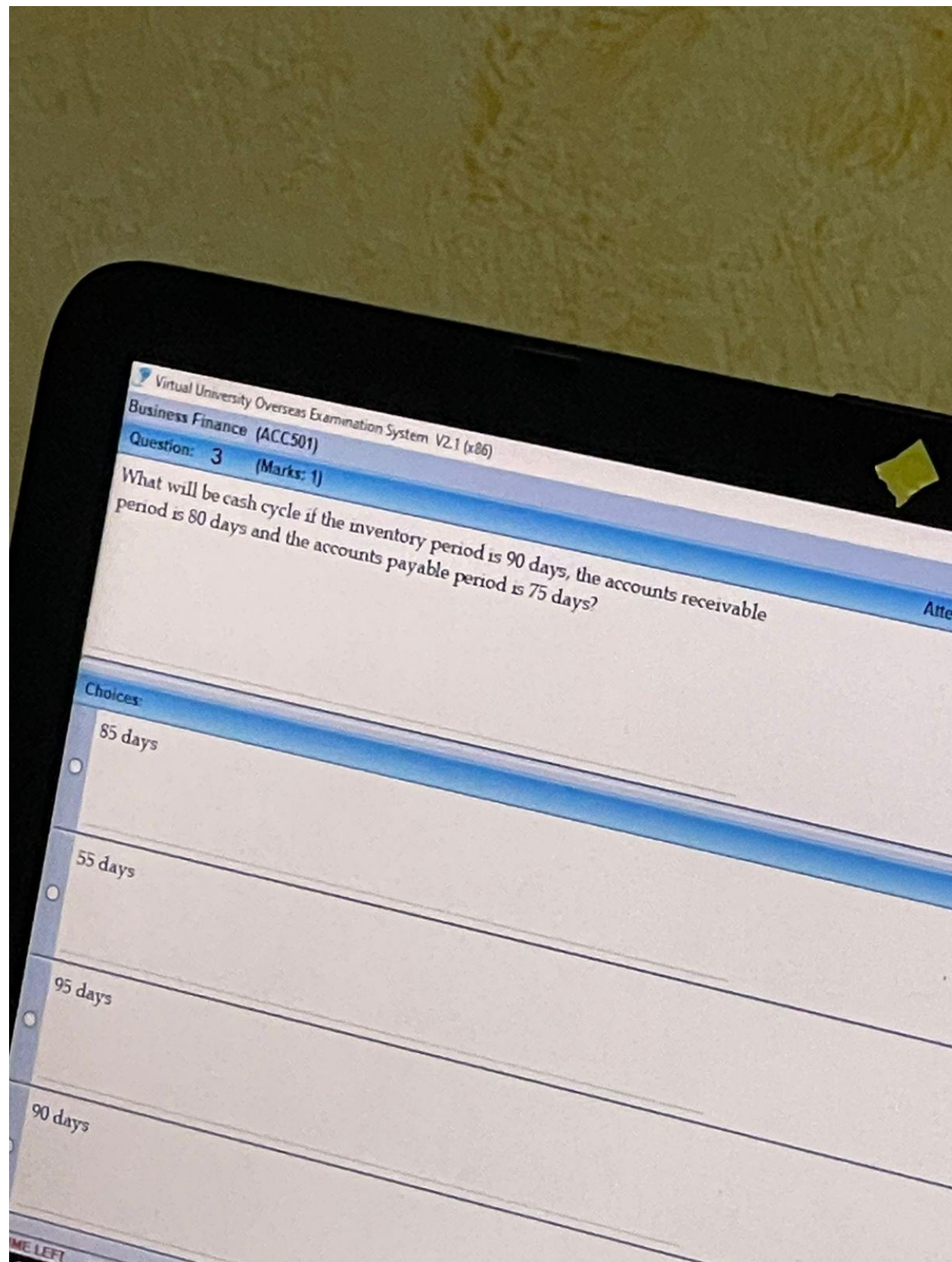
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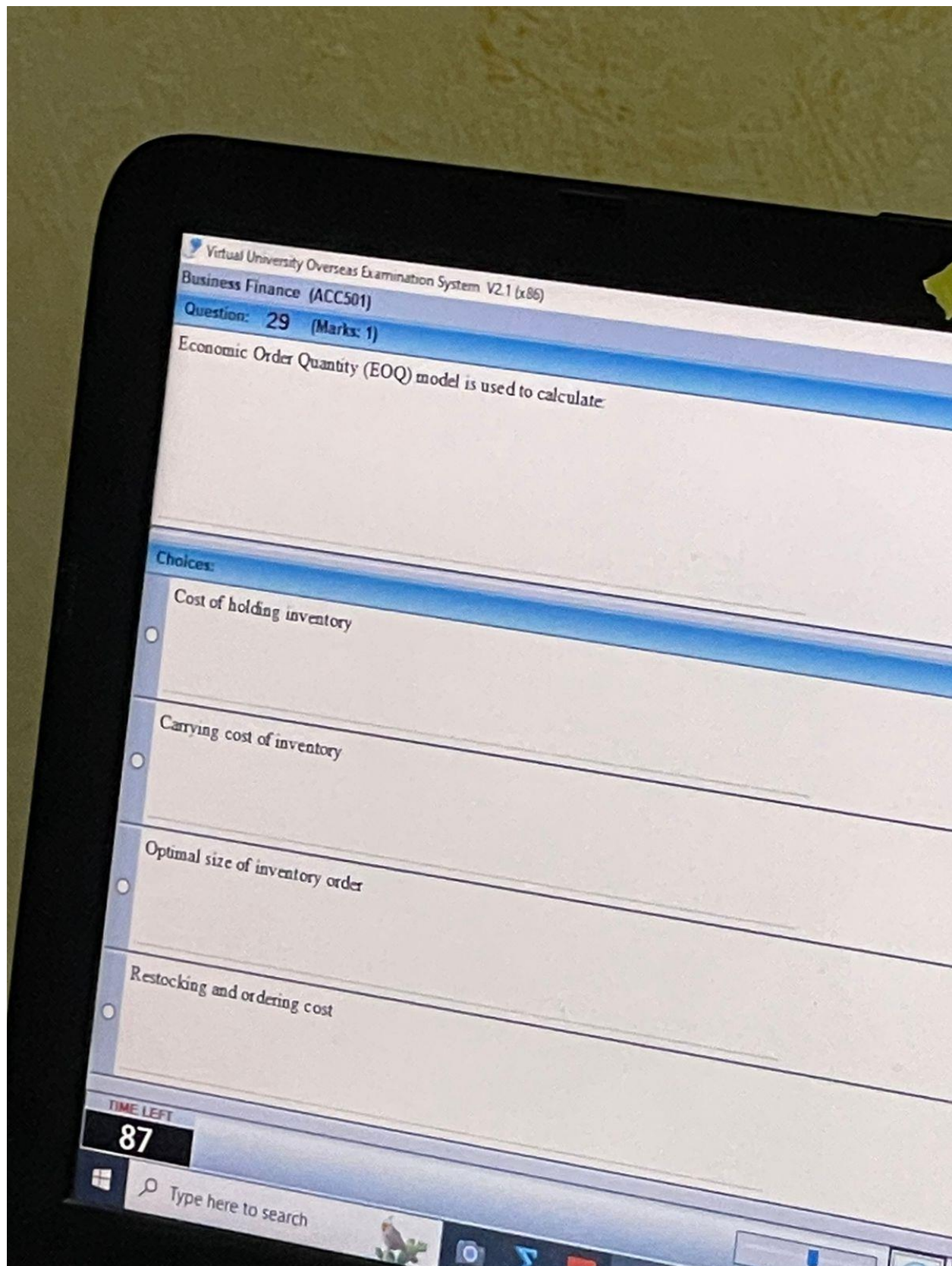
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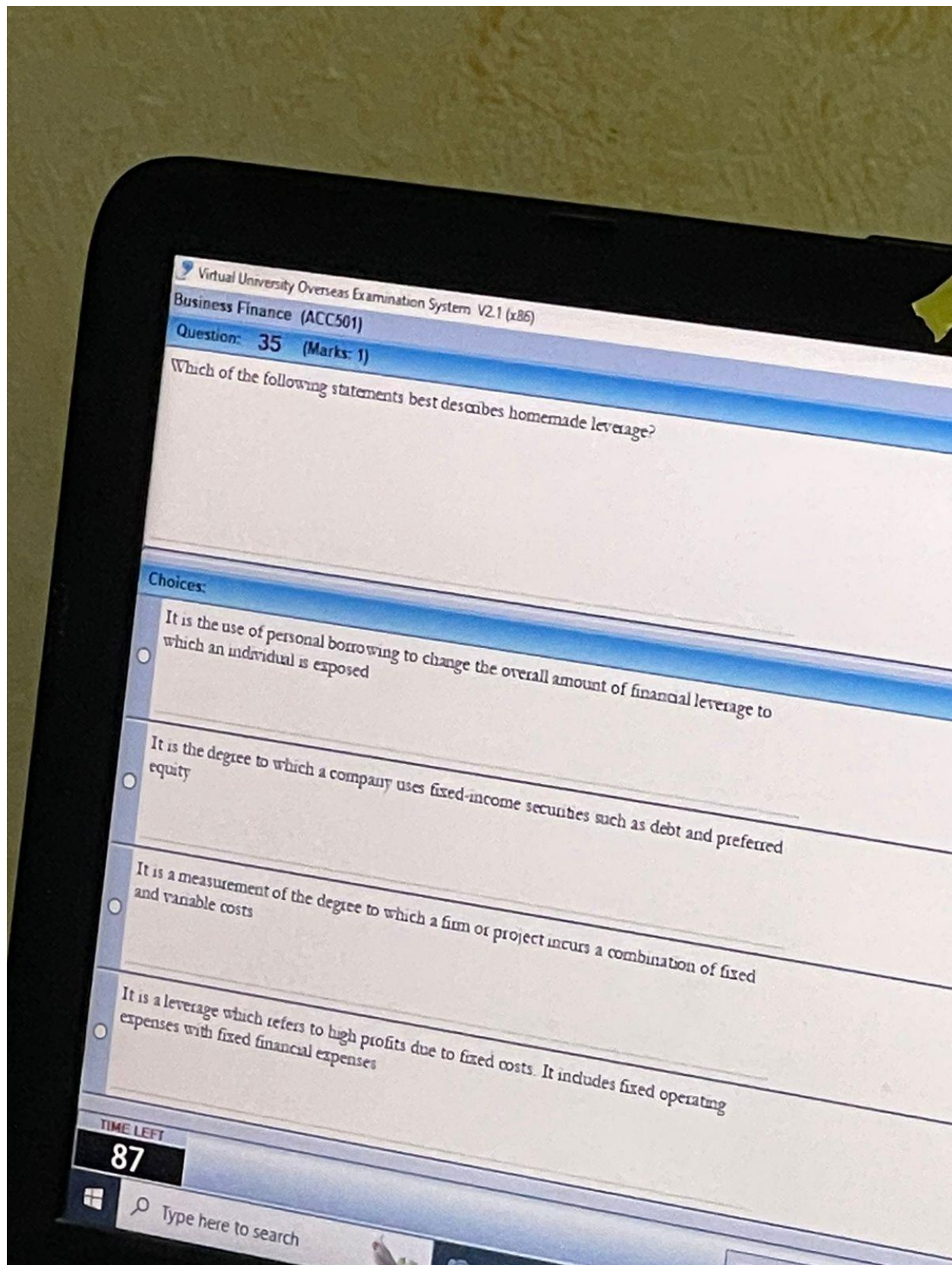
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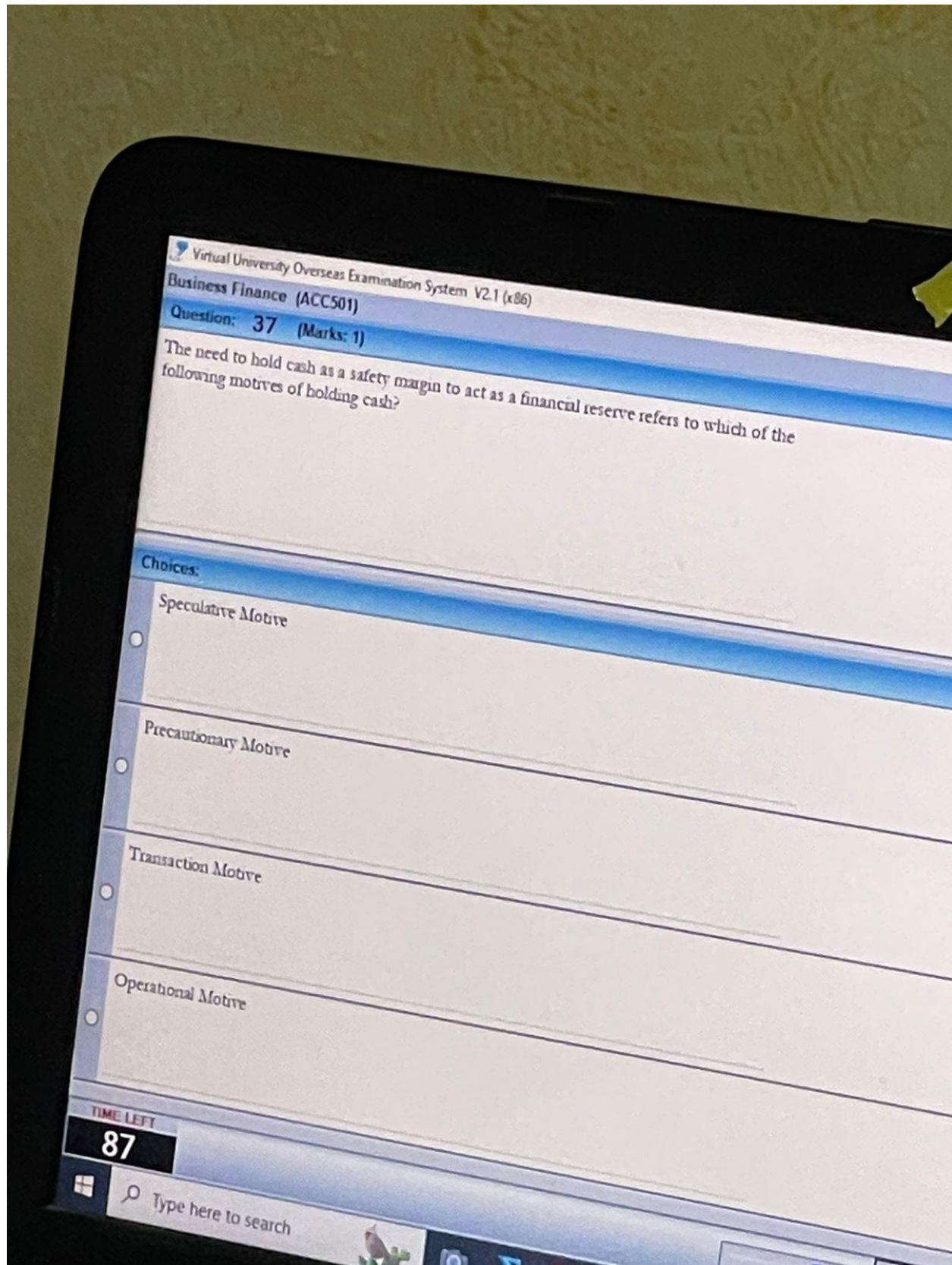
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Virtual University Overseas Examination System V2.1 (x86)

Business Finance (ACC501)

Question: 26 (Marks: 1)

ABC Company has following information regarding its forecasted sales:

Particular	Month-1	Month-2	Month-3
Sales (Rs.)	5,700	6,900	8,100

Cash collection policy: $\frac{1}{3}$ in the month of sales and $\frac{2}{3}$ in the following month of sales

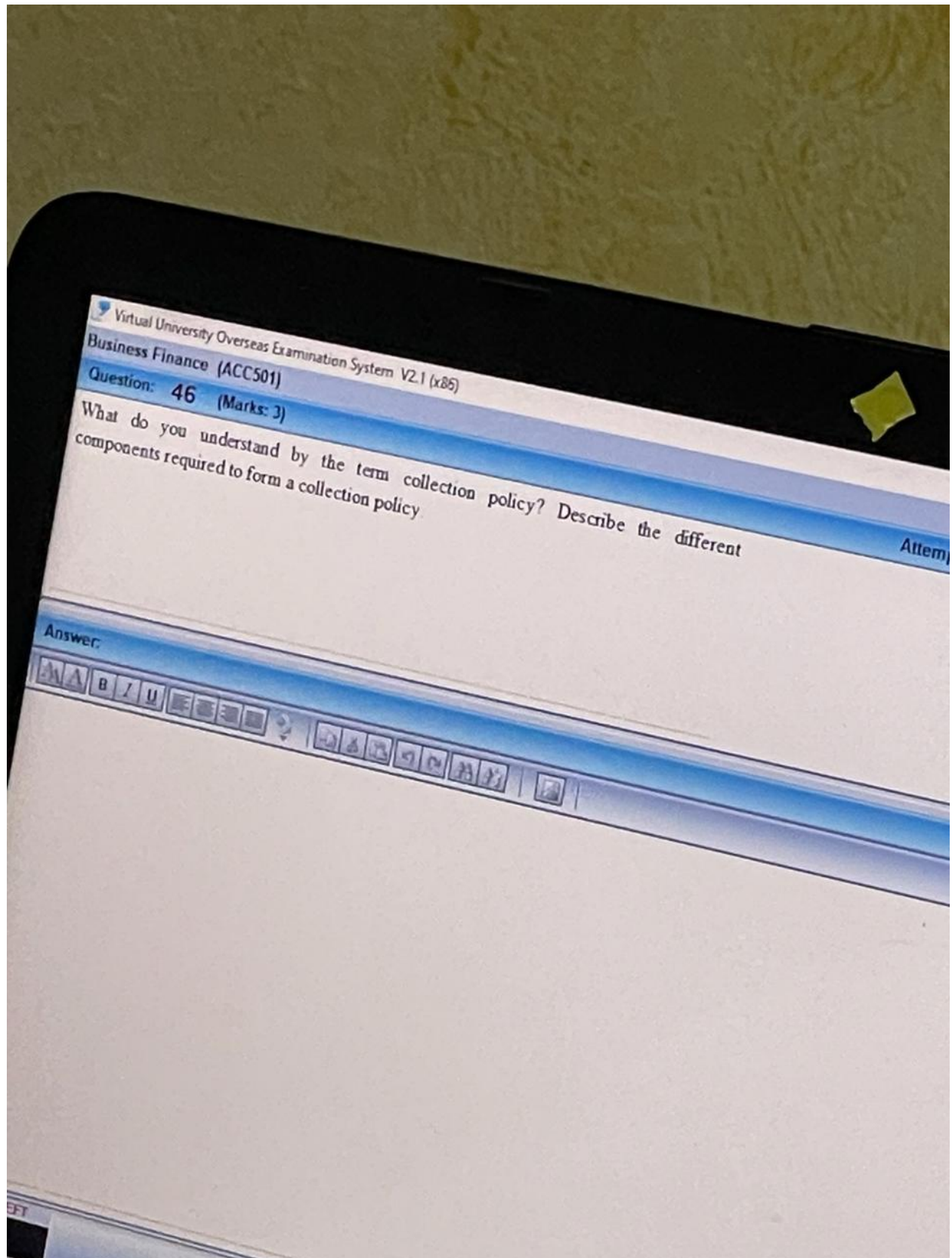
Choices:

- ☐ Rs. 6,100
- ☐ Rs. 7,300
- ☐ Rs. 6,500
- ☐ Rs. 6,900

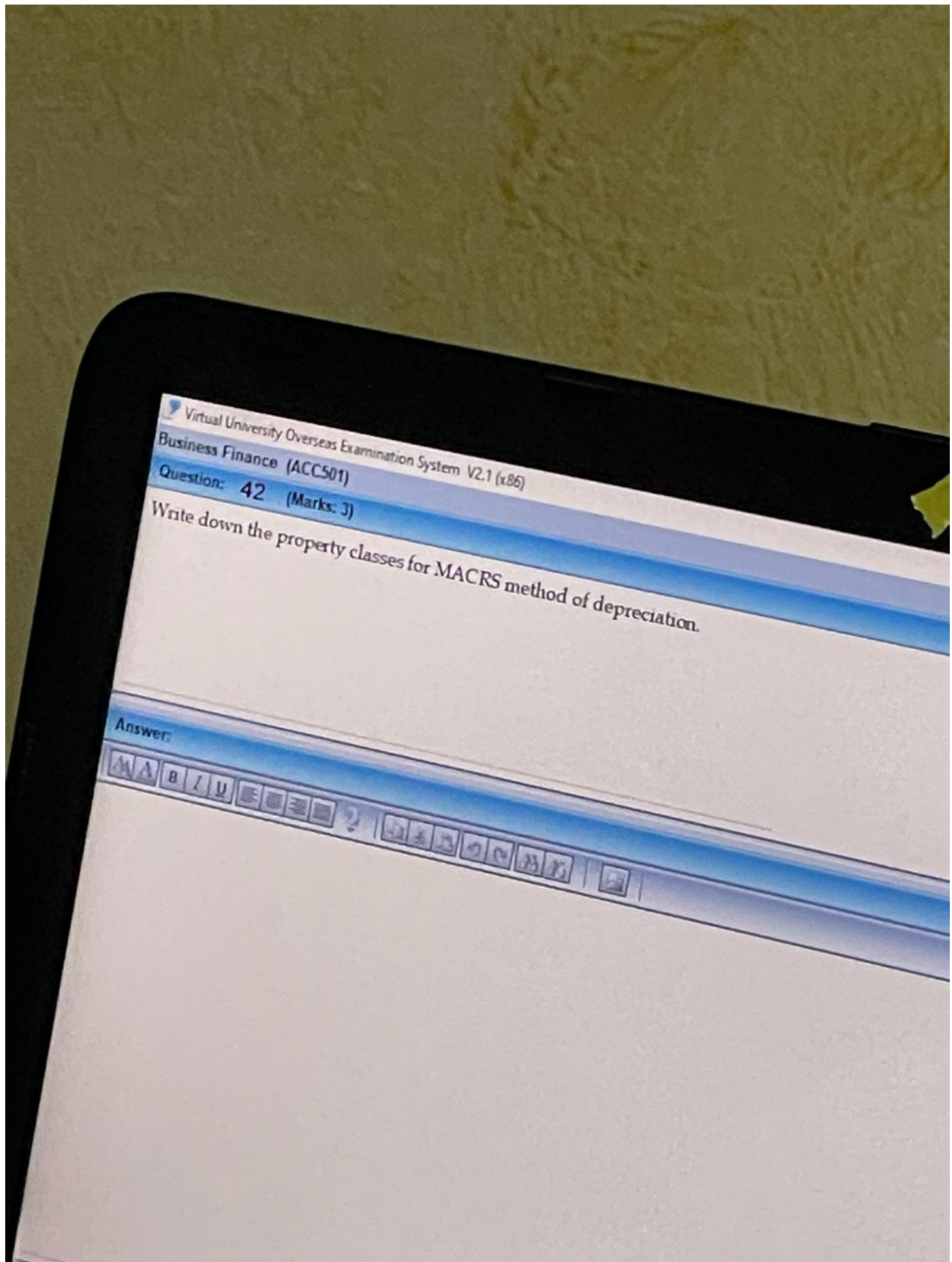
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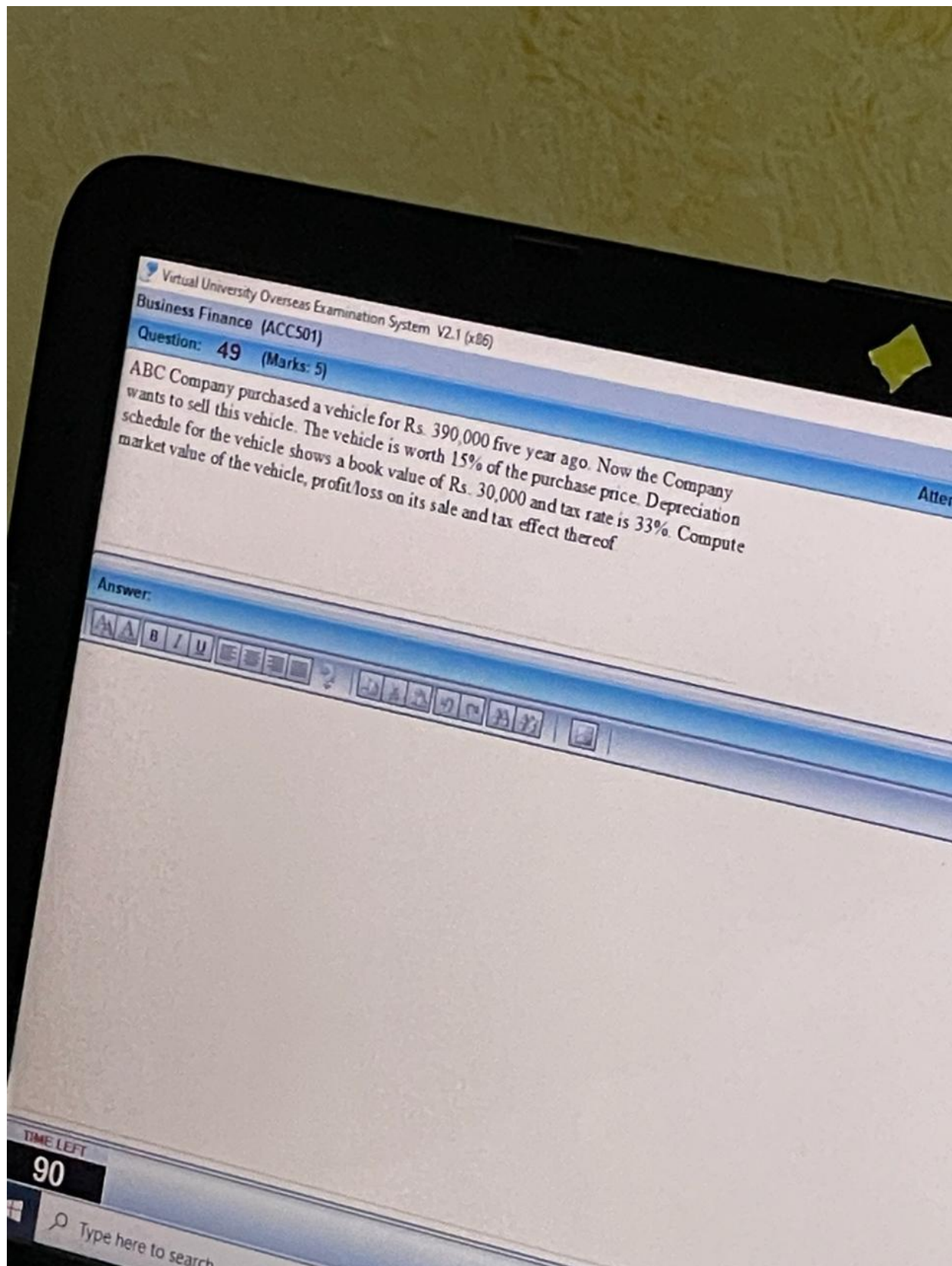
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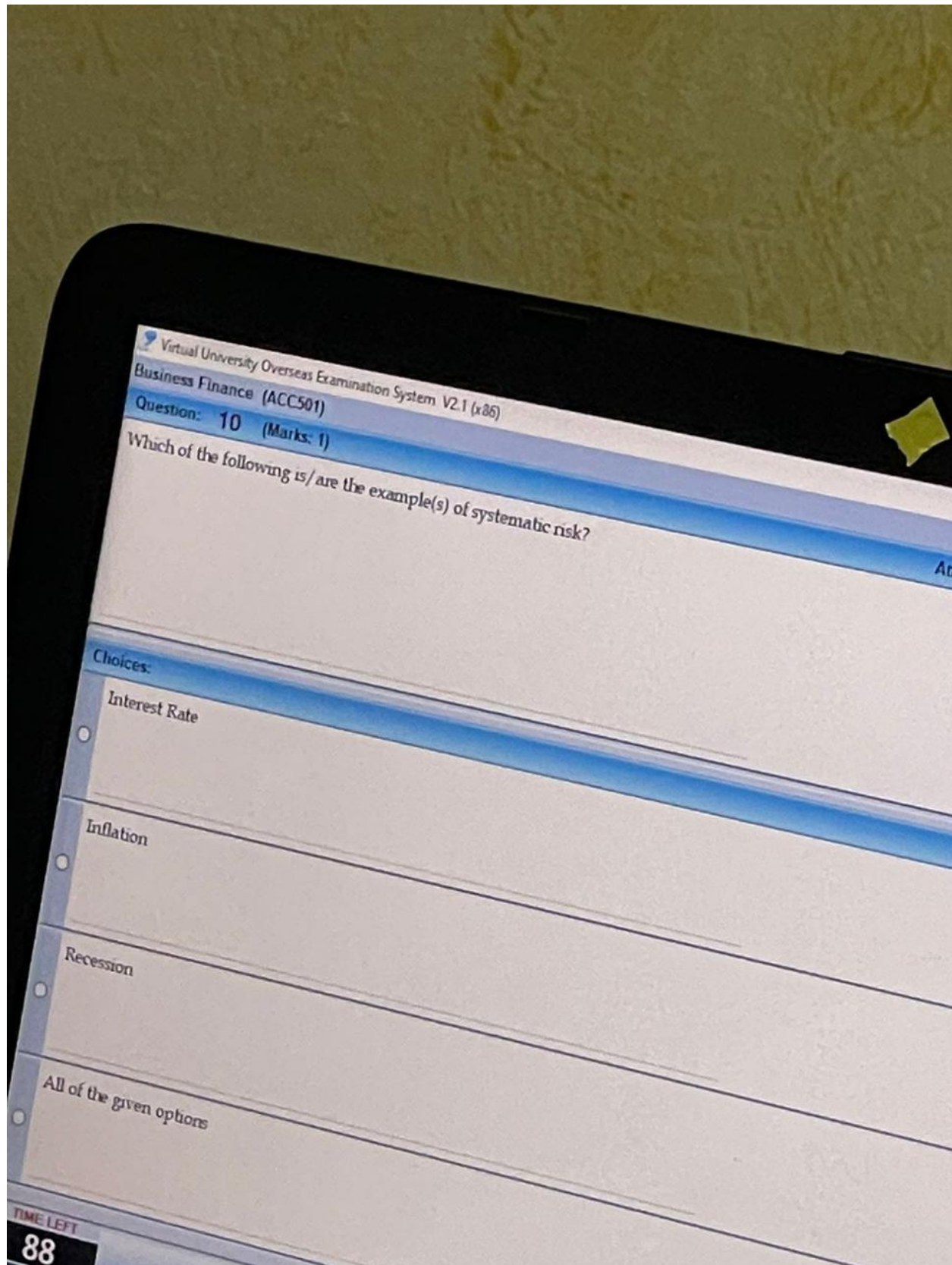
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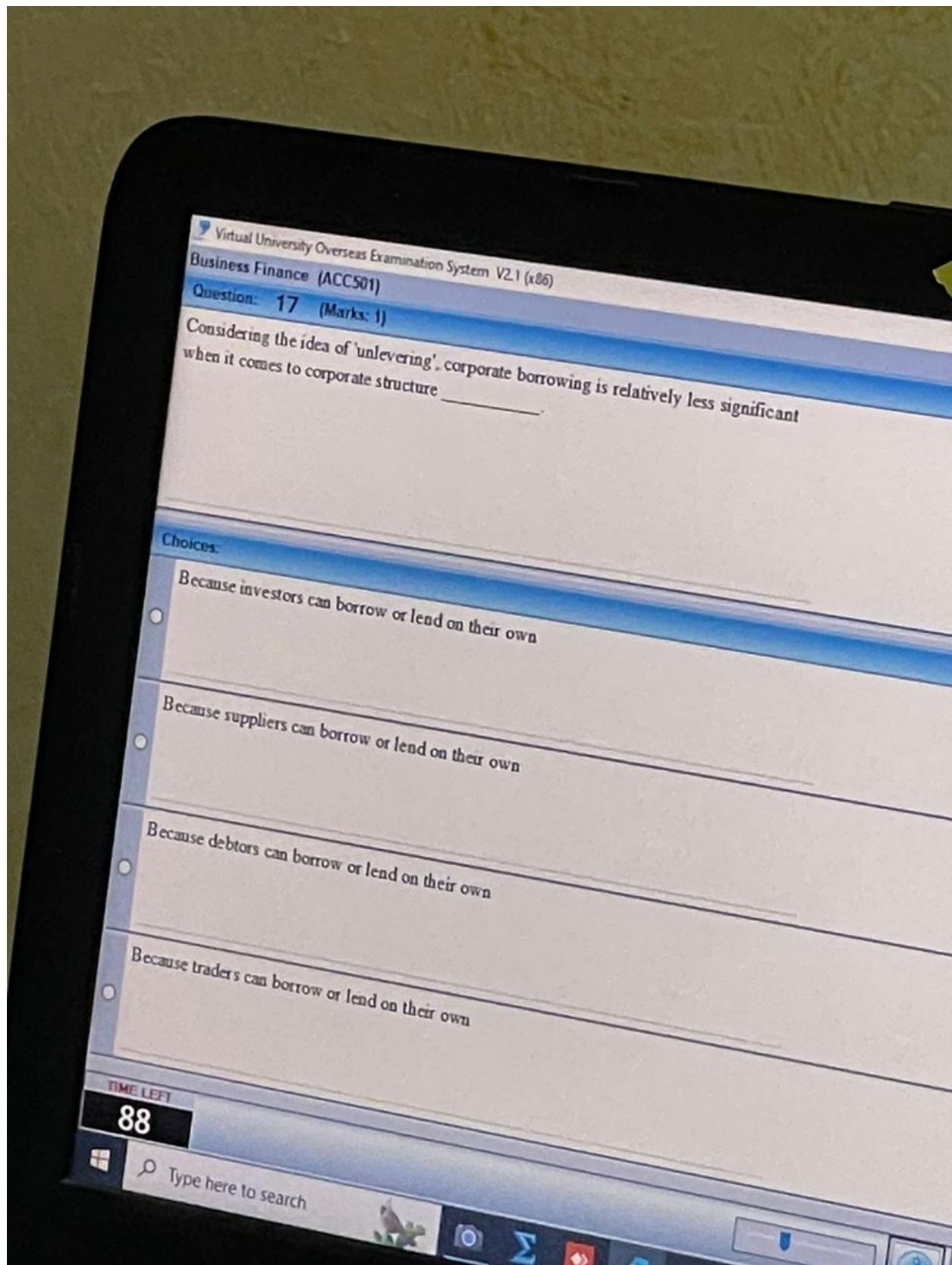
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SEE ANSWER

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Q21 — A

Q22 — C

Q23 — B

Q24 — C

Q25 — D

Q26 — C

Q27 — A

Q28 — C

Q29 — C

Q30 — A

Q31 — C

Q32 — ~~D~~ B

Q33 — A

Q34 — A

Q35 — A

Q36 — C

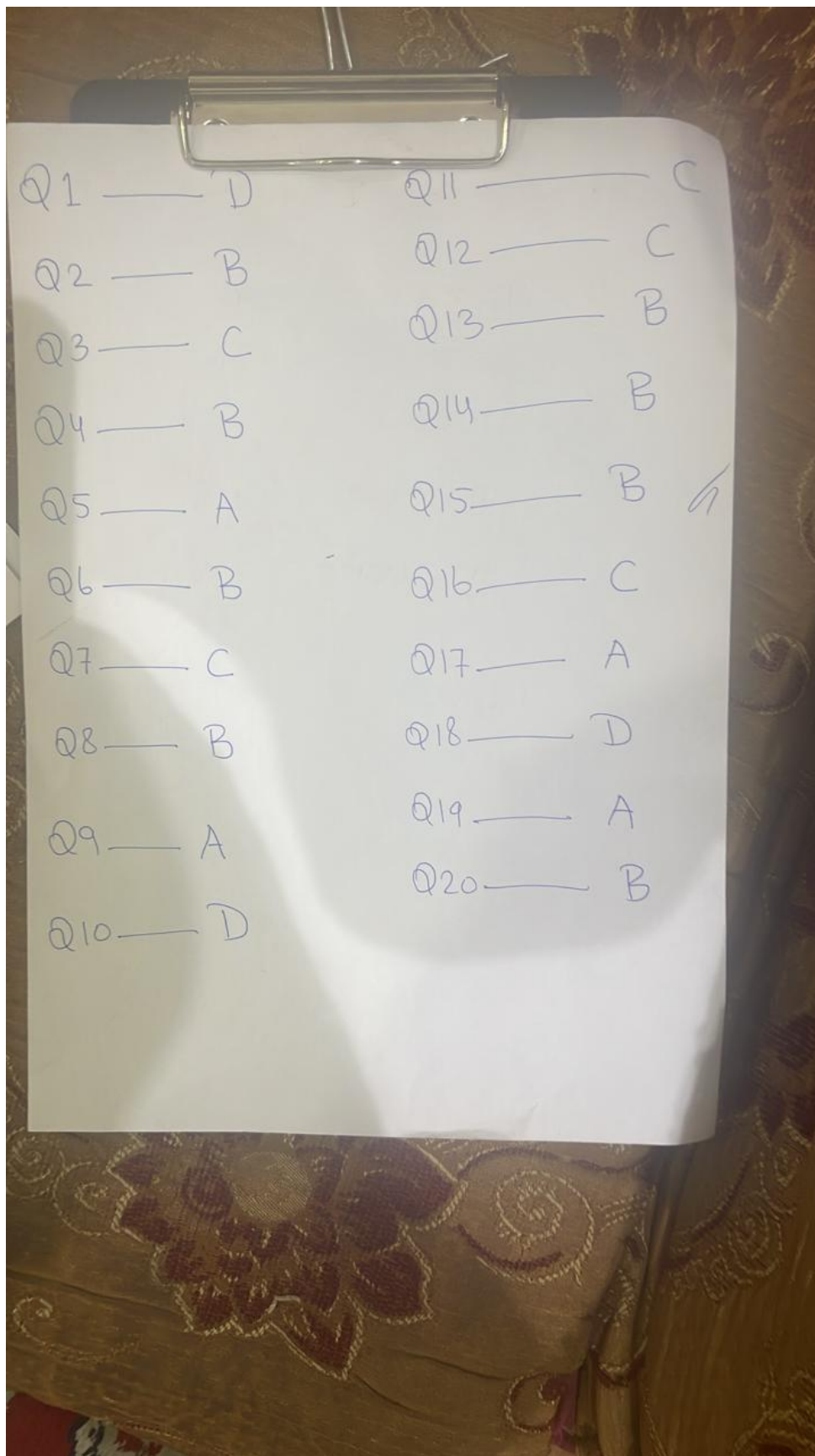
Q37 — B

Q38 — B

Q39 — A

Q40 — D

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Q 41

Components of Required Return

- Let's examine the implications of the dividend growth model for the required return of Discount rate R.
- We calculated P0 as $P0 = D1 / (R - g)$
- Rearranging it to solve for R, we get $R - g = D1/P0$ $R = D1/P0 + g$
- This tells us that the total return, R, has two components • $D1/P0$ is called the Dividend Yield. Because this is calculated as the expected cash dividend by the current price, it is conceptually similar to the current yield on a bond
- Growth rate, g, is also the rate at which the stock price grows. So it can be interpreted as capital gains yield
- Suppose a stock is selling for \$20 per share. The next dividend is \$1 per share and it is expected to grow by 10% more or less indefinitely. What return does this stock offer you if this is correct?
- The dividend growth model calculates the total return as: $R = D1/P0 + g$ $R = \$1/20 + 10\% = 5\% + 10\% = 15\%$
- We can verify this answer by calculating the price in one year, P1, using 15% as the required return.
- Based on the dividend growth model, the price is: $P1 = D1 \times (1 + g) / (R - g)$ $P1 = \$1 \times 1.10 / (0.15 - 0.10)$ $P1 = \$1.10 / 0.05$ $P1 = \$22$
- This \$22 is equal to $\$20 \times 1.10$, so the stock price has grown by 10%
- If you pay \$20 for the stock today, you will get a \$1 dividend at the end of the year, and you will have a $\$22 - 20 = \2 gain
- Your dividend yield is thus $\$1/20 = 5\%$, while your capital gains yield is $\$2/20 = 10\%$
- So, total return would be $5\% + 10\% = 15\%$

Q42

- o The basic idea is that every asset is assigned to a particular class. The class establishes asset's life for tax purposes
- o We compute the depreciation for each year by multiplying the cost of the asset by a fixed percentage.
- o The expected salvage value and the actual expected economic life are not explicitly considered in calculation of depreciation
- o MACRS Property Classes Class Examples _ 3-year Equipment used in research 5-year Autos, Computers 7-year Most of industrial equipment

Q44

The Tax Case o Proposition 1 with taxes: the value of the firm levered (VL) is equal to the value of the firm unlevered (VU) plus the present value of the interest tax shield. $VL = VU + TC \times D$

- The Tax Case o Implications of Proposition 1 with taxes
- ♣ Debt financing is highly advantageous and in the extreme a firm's optimal capital structure is 100% debt.
- ♣ A firm's WACC decreases as the firm relies more heavily on debt financin

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Q 45

The gain or loss on the sale of the asset can be calculated as follows:

Gain (or Loss)=Selling Price–Book Value

Given:

Selling Price = Rs 12,000

Book Value = Rs 35,000

Gain (or Loss)=12,000–35,000

=–23,000

Since the result is negative, it indicates a loss on the sale.

Next, we need to calculate the tax on this loss. The tax rate is given as 33%.

Tax=Loss×Tax Rate

Tax=–23,000×0.33

=–7,590

Now, let's calculate the cash flow. Cash flow is the net result after accounting for taxes:

Cash Flow=Selling Price–Tax

Cash Flo=12,000–(–7,590)

Cash Flow=12,000+7,590

=19,590

So, the cash flow for this transaction, considering the tax implications, is Rs 19,590.

Q48

Activities that Increase Cash (sources of cash)

- o Increasing long-term debt
- o Increasing equity
- o Increasing current liabilities
- o Decreasing current assets other than cash

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o Decreasing fixed asset

Activities that decrease cash (uses of cash)

o Decreasing long term debt

o Decreasing equity

o Decreasing current liabilities

o Increasing current assets other than cash

o Increasing fixed assets

Q50 (pg 1)

Given that these dividends are paid annually for 5 years, we can calculate the average growth rate (r):

$$r = \left(\frac{232}{212} \right)^{\frac{1}{5}} - 1$$

$$r = \left(\frac{1.0943}{212} \right)^{\frac{1}{5}} - 1$$

$$r = 1.0943^{\frac{1}{5}} - 1$$

$$r = 1.0176 - 1$$

$$r = 0.0176$$

So, the average growth rate of dividends (r) is 0.0176 or 1.76%.

Now, to find the value of D_1 (dividend in the first year):



We know that:

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Q50 Pg 21

Now, to find the value of D_1 (dividend in the first year):

We know that:

$$D_1 = D_0 \times (1 + r)$$

$$D_1 = 212 \times (1 + 0.0176)$$

$$D_1 = 212 \times 1.0176$$

$$D_1 \approx 215.59$$

So, the value of D_1 (dividend in the first year) is approximately Rs 215.59.

~ ~ ~

Ytube

Math zone for Vu

Websites

Vucorner.com

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 **Allah Hafiz** 